# Set 25: Operating agreements and multiple owners

## Outcome ENT.LEGAL.07: Identify what a written agreement among owners should cover

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
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Which topic belongs in an operating agreement?

**A.** What happens if an owner wants to leave
**B.** The menu for the office holiday party
**C.** The color scheme for the company website
**D.** Which social media app to post on first

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q1**
Entrepreneurship, Set 25: Operating agreements and multiple owners · MAIN · Q1/5 · Outcome ENT.LEGAL.07 (local)

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Who are the parties to an LLC's operating agreement?

**A.** The LLC's customers who buy its products
**B.** The bank that holds the business account
**C.** The LLC's owners (members)
**D.** The state that approved the LLC filing

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q2**
Entrepreneurship, Set 25: Operating agreements and multiple owners · MAIN · Q2/5 · Outcome ENT.LEGAL.07 (local)

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When is the best time to write an operating agreement?

**A.** Never, because it is always unnecessary
**B.** Only after a serious argument begins
**C.** Only if the business becomes very large
**D.** At the start, while owners agree

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q3**
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Two owners each own 50 percent. Which topic is especially important to settle?

**A.** Which owner has the nicer handwriting

**B.** How tie votes are broken

**C.** Whose car is newer for deliveries

**D.** Which font the invoices use

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q4**
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Does a one-owner LLC ever benefit from an operating agreement?

**A.** Only if it has more than 100 employees
**B.** Only if the owner changes the logo
**C.** No, never, under any circumstances at all
**D.** Yes, it can

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q5**
Entrepreneurship, Set 25: Operating agreements and multiple owners · MAIN · Q5/5 · Outcome ENT.LEGAL.07 (local)

**Learn**
Think of roommates writing house rules: who pays which bills, who cleans, what happens if someone moves out, and how to settle arguments. Writing them on move-in day is easy; writing them during a fight is hard. An operating agreement is the house rules for the owners of an LLC: ownership, decisions, money, leaving, and disagreements.

An operating agreement is most like what?

**A.** Roommates' house rules
**B.** A daily weather report
**C.** A movie ticket
**D.** A grocery list

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q1**
Entrepreneurship, Set 25: Operating agreements and multiple owners · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.07 (local)

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When are house rules easiest to write?

**A.** On move-in day
**B.** During an argument
**C.** Never
**D.** After someone moves out

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q2**
Entrepreneurship, Set 25: Operating agreements and multiple owners · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.07 (local)

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"What happens if someone moves out" matches which agreement topic?

**A.** Website design
**B.** An owner leaving the business
**C.** A list of product prices for the shop
**D.** Logo colors

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q3**
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"Who pays which bills" matches what?

**A.** Who designs the logo and the website
**B.** Who is the customer
**C.** Where to advertise
**D.** How money and responsibilities are shared

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q4**
Entrepreneurship, Set 25: Operating agreements and multiple owners · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.07 (local)

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"How to settle arguments" matches what?

**A.** Hiring a designer for the brand and website
**B.** Raising prices
**C.** Resolving disagreements between owners
**D.** Choosing a domain

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q5**
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A two-owner LLC agreement covers ownership and profit split only. What important gap remains?

**A.** Holiday decorations
**B.** What happens if an owner leaves or cannot work
**C.** Which printer brand to buy for the office
**D.** The office plant schedule

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F1-Q1**
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Owners own 60 and 40 percent. Profits are 10,000 dollars, split by ownership. How much goes to the 40-percent owner?

**A.** 4,000 dollars
**B.** 400 dollars
**C.** 5,000 dollars
**D.** 6,000 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F1-Q2**
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One owner does most of the daily work but owns 30 percent. What should the agreement make clear?

**A.** That work and pay never need to be discussed
**B.** That ownership must always equal hours worked
**C.** How work is paid separately from ownership
**D.** That the hard worker gets nothing extra ever

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An agreement says big purchases need both owners' approval. Which purchase most clearly needs it?

**A.** A 20,000-dollar delivery van
**B.** A 3-dollar coffee
**C.** A 5-dollar pack of pens
**D.** A 10-dollar shipping label

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A new person wants to buy into the LLC. Where should the rules for adding owners be?

**A.** In a customer invoice
**B.** On the company website
**C.** In a social media post
**D.** In the operating agreement

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Two equal owners disagree on hiring and their agreement has no tie-break rule. What is a sensible step?

**A.** Use a mediator or add a tie-break process both accept
**B.** Ask customers to vote
**C.** Stop all business forever
**D.** Let the louder owner decide every disagreement from now on

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F2-Q1**
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.07 (local)

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An owner wants to sell her share to an outsider. The agreement gives other owners first chance to buy. What should she do first?

**A.** Sell to the outsider quietly without telling the other owners
**B.** Dissolve the LLC immediately
**C.** Ignore the agreement because it is old
**D.** Offer her share to the other owners as the agreement requires

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A template agreement from the internet does not fit the owners' real arrangement. What is the risk?

**A.** Templates are illegal
**B.** It may not match what they actually agreed or state law
**C.** It automatically guarantees the owners lower taxes
**D.** None; any template works

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Which detail should be checked before signing an operating agreement?

**A.** Whether a competitor approves
**B.** Whether it is longer than ten pages, since longer is better
**C.** Whether it covers decisions, money, exits and disputes
**D.** Whether the font is attractive

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Who can help write or review an operating agreement for a complex situation?

**A.** A social media influencer
**B.** A web developer
**C.** A sign maker
**D.** A business attorney

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Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.07 (local)

# Set 26: DBA (trade name) filings

## Outcome ENT.LEGAL.08: Explain when a trade name (DBA) filing is used and what it does not do

Module: Foundation 4: Names and legal structure

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**Learn**
A DBA ("doing business as"), also called a trade name, assumed name or fictitious name, lets a business operate under a name different from its legal name. A sole proprietor named Maria Lopez who sells as "Sunny Bakes" may need to register that name; so may an LLC operating under a different name. Where it is filed (state, county or city) depends on the location. A DBA does NOT create a new entity, does NOT give liability protection, and does NOT give trademark rights. Check local rules.

Maria Lopez sells cakes as "Sunny Bakes." What does a DBA filing let her do?

**A.** Operate under the name "Sunny Bakes"
**B.** Turn her business into an LLC without other filings
**C.** Stop all others from using "Sunny Bakes" nationwide
**D.** Protect her house from business debts

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q1**
Entrepreneurship, Set 26: DBA (trade name) filings · MAIN · Q1/5 · Outcome ENT.LEGAL.08 (local)

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Does a DBA create a new legal entity?

**A.** Yes, it creates a corporation

**B.** No

**C.** Only for partnerships

**D.** Yes, it creates an LLC

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q2**
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Which is another common term for a DBA?

**A.** Registered agent
**B.** Articles of organization
**C.** Trade name
**D.** Operating agreement

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q3**
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Where is a DBA filed?

**A.** Always with the IRS only, in every location
**B.** Always with a bank
**C.** Never anywhere
**D.** It depends on the location: state, county or city

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q4**
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Which is TRUE about a DBA?

**A.** It replaces a business license.
**B.** It does not give liability protection.
**C.** It gives trademark rights everywhere.
**D.** It shields personal savings.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q5**
Entrepreneurship, Set 26: DBA (trade name) filings · MAIN · Q5/5 · Outcome ENT.LEGAL.08 (local)

**Learn**
A DBA is like a name tag. If Robert wears a tag saying "Coach Bob," he is still Robert. The tag tells people what to call him at work; it does not make him a different person or give him special protection. A business with a DBA is still the same business, with the same owner, the same responsibilities and the same legal form. It simply uses another name with customers.

A DBA is most like what?

**A.** A shield
**B.** A trademark certificate
**C.** A new person
**D.** A name tag

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Robert wearing a "Coach Bob" tag is still who?

**A.** Robert
**B.** A company
**C.** No one
**D.** A new person named Bob

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-B1-Q2**
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Does a business with a DBA change its legal form?

**A.** Yes, always
**B.** Only for LLCs
**C.** No
**D.** Only on weekends

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Does a DBA give special protection?

**A.** Yes, from lawsuits
**B.** Yes, from debts
**C.** Yes, from taxes
**D.** No

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What does a DBA tell customers?

**A.** The owner's salary
**B.** What name the business uses
**C.** Who the owner's doctor is
**D.** The bank balance

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Lee, a sole proprietor, opens a bank account for "Lee's Lawns." The bank asks for a DBA certificate. Why?

**A.** The business name differs from Lee's legal name

**B.** Because banks issue DBAs

**C.** Because a DBA replaces the owner's driver's license

**D.** Because it creates an LLC

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F1-Q1**
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Which business most likely needs a DBA?

**A.** "Green Path LLC" selling under the name "Fresh Bowls"
**B.** "Green Path LLC" selling only as "Green Path LLC"
**C.** Jane Smith selling as "Jane Smith"
**D.** A business with no name at all

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F1-Q2**
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A sole proprietor files a DBA to look more official. What does she still lack?

**A.** Customers
**B.** Permission to sell
**C.** A business name to use
**D.** Liability protection

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A DBA filing costs 25 dollars and must be renewed every 5 years. How much is spent on it over 15 years, assuming the same fee?

**A.** 75 dollars
**B.** 25 dollars
**C.** 375 dollars
**D.** 15 dollars

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Which step would actually give some liability protection?

**A.** Filing a DBA
**B.** Forming an LLC or corporation
**C.** Buying a domain
**D.** Ordering business cards with "LLC"

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F1-Q5**
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.08 (local)

**Learn**
A DBA ("doing business as"), also called a trade name, assumed name or fictitious name, lets a business operate under a name different from its legal name. A sole proprietor named Maria Lopez who sells as "Sunny Bakes" may need to register that name; so may an LLC operating under a different name. Where it is filed (state, county or city) depends on the location. A DBA does NOT create a new entity, does NOT give liability protection, and does NOT give trademark rights. Check local rules.

An owner believes his DBA means no one else can use "River Tees." What should he check?

**A.** Trademark records and whether anyone else already uses the name
**B.** Only his domain registrar
**C.** Nothing; the DBA protects the name everywhere in the nation
**D.** Only his county website

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q1**
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.08 (local)

**Learn**
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A business uses a DBA in two counties. What should the owner check?

**A.** Whether the logo needs a DBA
**B.** Whether each county requires its own filing
**C.** Whether one filing covers every country in the world
**D.** Whether DBAs are illegal

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q2**
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.08 (local)

**Learn**
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A customer contract is signed only as "Fresh Bowls" with no legal name. What is the risk?

**A.** None at all
**B.** It cancels the DBA
**C.** Confusion about which legal entity is responsible
**D.** Signing as Fresh Bowls creates a new LLC called Fresh Bowls

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q3**
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.08 (local)

**Learn**
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A founder plans: "File DBA, then sell food from home." What else must be checked?

**A.** Only the font and layout of the printed DBA certificate
**B.** Nothing; the DBA is enough
**C.** Only competitor prices
**D.** Licenses, permits and local rules for selling food

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q4**
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.08 (local)

**Learn**
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Which statement is accurate?

**A.** A DBA can be useful, but it is only a registered name.
**B.** A DBA lowers taxes.
**C.** A DBA is a trademark.
**D.** A DBA replaces the need to form an LLC for protection.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q5**
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.08 (local)

# Set 27: Liability limits and personal guarantees

## Outcome ENT.LEGAL.09: Recognize how personal guarantees and personal actions can bypass limited liability

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Limited liability has gaps. A PERSONAL GUARANTEE is a promise you sign to pay a business debt yourself if the business cannot. Lenders, landlords and some suppliers often ask new business owners for one, because the business has little history. If you sign it, your personal savings and other assets can be used to pay that debt, even if you have an LLC. Personal guarantees can be hidden in long forms. Read before signing, ask what you are guaranteeing, and consider whether the amount is one you could pay personally.

What is a personal guarantee?

**A.** A promise to pay a business debt yourself if the business cannot
**B.** A promise by the bank to lend you more money later
**C.** A guarantee that the business will make a profit this year
**D.** A warranty you give customers on a product

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q1**
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q1/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
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An LLC owner signed a personal guarantee on the shop lease. The business closes. Who may owe the rest of the lease?

**A.** The state
**B.** Only the landlord
**C.** The owner personally
**D.** No one, because the LLC closed

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q2**
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q2/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
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Why do lenders often ask new owners for guarantees?

**A.** Because LLCs cannot sign contracts.
**B.** Because guarantees are required by every state.
**C.** Because guarantees lower the owner's taxes.
**D.** New businesses have little history.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q3**
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q3/5 · Outcome ENT.LEGAL.09 (local)

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Where can a personal guarantee sometimes hide?

**A.** Only on billboards outside the bank
**B.** Inside a long application or contract
**C.** Only in the company logo
**D.** Only in social media ads

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q4**
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q4/5 · Outcome ENT.LEGAL.09 (local)

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Before signing a guarantee, what should an owner ask?

**A.** Will signing this make my company logo look better?
**B.** How fast can I sign?
**C.** Could I pay this amount personally if needed?
**D.** Is the paper a nice color?

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q5**
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q5/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
Imagine co-signing a friend's phone contract. If your friend stops paying, the phone company can ask you to pay. A personal guarantee for your business works the same way: you are co-signing for your own company. Your LLC may be the main borrower, but your signature means you will pay if it cannot. That is why it matters so much.

Co-signing means what?

**A.** You get a free phone
**B.** You own the company
**C.** You can never be asked to pay anything at all
**D.** You may have to pay if the main borrower does not

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q1**
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
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A personal guarantee is like co-signing for whom?

**A.** A competitor down the street
**B.** Your own business
**C.** A stranger
**D.** The bank

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q2**
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
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If the LLC cannot pay a guaranteed debt, who may pay?

**A.** The state
**B.** The business's regular customers
**C.** Nobody
**D.** The person who signed the guarantee

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q3**
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
Imagine co-signing a friend's phone contract. If your friend stops paying, the phone company can ask you to pay. A personal guarantee for your business works the same way: you are co-signing for your own company. Your LLC may be the main borrower, but your signature means you will pay if it cannot. That is why it matters so much.

Who is the main borrower on a business loan with a guarantee?

**A.** The guarantor only
**B.** The business
**C.** The landlord
**D.** The bank

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q4**
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
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Does an LLC stop a guarantor from having to pay?

**A.** No
**B.** Only in summer
**C.** Only if small
**D.** Yes, always

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q5**
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
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A supplier offers 30-day payment terms if the owner signs a personal guarantee up to 5,000 dollars. The owner has 1,000 dollars in savings. What is the main concern?

**A.** Payment terms are always free of risk
**B.** She could owe more than she could personally pay
**C.** Guarantees only apply to big companies
**D.** The supplier will never actually ask anyone for payment

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q1**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.09 (local)

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Two lease offers: A requires a personal guarantee; B costs 100 dollars more a month with no guarantee. The owner's priority is protecting her house. Which fits her priority?

**A.** Offer A, because it is cheaper
**B.** Neither, because all leases require guarantees
**C.** Offer B, without the guarantee
**D.** Offer A, because guarantees never get used

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q2**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.09 (local)

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A loan application has a page titled "Unconditional Guaranty." What should the owner do?

**A.** Read it and ask what it covers before signing
**B.** Ignore it because it is a standard form
**C.** Cross it out without telling the lender
**D.** Sign quickly so the loan closes faster

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q3**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.LEGAL.09 (local)

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A guarantee covers a 12,000-dollar loan. The business repays 9,000 dollars and then closes. How much might the guarantor owe, ignoring interest and fees?

**A.** 0 dollars
**B.** 9,000 dollars
**C.** 3,000 dollars
**D.** 12,000 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q4**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.09 (local)

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Which action can reduce guarantee risk?

**A.** Hiding the guarantee from a business partner so they do not worry
**B.** Ignoring the amount
**C.** Negotiating a limit or a time period on the guarantee
**D.** Signing several guarantees at once

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q5**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.09 (local)

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Two partners own an LLC equally. Only one signs a personal guarantee. What should the partners discuss?

**A.** Whether to change the logo
**B.** Nothing; guarantees are always shared automatically
**C.** Whether to stop keeping records
**D.** How they will share that risk fairly

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q1**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.09 (local)

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An owner says, "I have an LLC, so the guarantee does not matter." What is wrong?

**A.** Guarantees expire when signed
**B.** The guarantee makes her personally responsible despite the LLC
**C.** Personal guarantees are illegal for anyone who owns an LLC
**D.** Nothing; the LLC overrides it

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q2**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.09 (local)

**Learn**
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Which missing information should be checked before signing a guarantee?

**A.** The maximum amount and how long it lasts
**B.** How many employees the lender has
**C.** The lender's office paint color
**D.** Whether the lender likes your logo

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q3**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.09 (local)

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A business owner's spouse is asked to sign a guarantee too. What should the spouse understand?

**A.** Spouses can never be responsible
**B.** Signing only helps the credit score
**C.** It is just a formality that has no legal effect on the spouse
**D.** Their personal assets could also be used for the debt

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q4**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.09 (local)

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Who is the best person to review a large guarantee before signing?

**A.** A social media follower
**B.** The lender only
**C.** A business attorney
**D.** A graphic designer

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q5**
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.09 (local)

# Set 28: Licenses, permits, zoning and home businesses

## Outcome ENT.LEGAL.10: Identify which local, state or industry permissions to check for an activity and location

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Many activities need permission from a government before you start. A BUSINESS LICENSE is general permission to operate in a city or county. A PERMIT covers a specific activity, such as selling food, putting up a sign, or doing construction. ZONING rules say what activities are allowed at a location, including homes; some neighborhoods limit customer visits, signs, parking or noise. Some jobs, such as hair care or electrical work, need a professional license. Rules depend on the activity and the place: city, county, state and sometimes federal. Rental leases and homeowner associations can add limits.

Lucy wants to sell homemade baked goods from her kitchen. What should she check?

**A.** Local and state rules for selling food made at home
**B.** Only whether her friends and neighbors like her cookies
**C.** Only how to post on social media
**D.** Only the price of flour at the store

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q1**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · MAIN · Q1/5 · Outcome ENT.LEGAL.10 (local)

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What do zoning rules decide?

**A.** Which colors a business logo may use
**B.** How much tax the owner pays each year
**C.** Which bank the business must use
**D.** What activities are allowed at a location

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q2**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · MAIN · Q2/5 · Outcome ENT.LEGAL.10 (local)

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Which job most likely needs a professional license?

**A.** Dog photography at a park
**B.** Writing a personal blog for fun
**C.** Electrical wiring in customers' homes
**D.** Selling greeting cards online

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q3**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · MAIN · Q3/5 · Outcome ENT.LEGAL.10 (local)

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Who sets licensing and permit rules?

**A.** Only the business owner's friends
**B.** Only the bank that holds the account
**C.** It depends: city, county, state and sometimes federal agencies
**D.** Only the federal government, for every business in the country

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q4**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · MAIN · Q4/5 · Outcome ENT.LEGAL.10 (local)

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A tenant wants to run a business from an apartment. What else besides city rules should she check?

**A.** The weather forecast
**B.** Her favorite restaurant's hours
**C.** A competitor's logo
**D.** Her lease terms

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q5**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · MAIN · Q5/5 · Outcome ENT.LEGAL.10 (local)

**Learn**

Think of permission slips at school: one lets you go on a field trip, another lets you play a sport. A business may need several kinds: a general business license (permission to operate), a permit for a specific activity (like serving food), and approval that the location allows the activity (zoning). Some people also need a personal professional license, like a driver's license for a job. Each comes from the group in charge of that rule.

A general business license is like which permission slip?

**A.** Permission to drive a car

**B.** Permission to operate at all

**C.** Permission to skip class

**D.** Permission to change a logo

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-B1-Q1**

Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.10 (local)

**Learn**
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A food permit covers what?

**A.** A specific activity: selling food
**B.** The owner's taxes
**C.** The company name
**D.** All business activity everywhere

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-B1-Q2**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.10 (local)

**Learn**
Think of permission slips at school: one lets you go on a field trip, another lets you play a sport. A business may need several kinds: a general business license (permission to operate), a permit for a specific activity (like serving food), and approval that the location allows the activity (zoning). Some people also need a personal professional license, like a driver's license for a job. Each comes from the group in charge of that rule.

Zoning approval is about what?

**A.** The owner's education level and degrees
**B.** Whether the location allows the activity
**C.** The website design
**D.** The product's price

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-B1-Q3**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.10 (local)

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A hair stylist's license is which kind?

**A.** A zoning rule for the salon
**B.** A trademark
**C.** A DBA
**D.** A personal professional license

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-B1-Q4**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.10 (local)

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Who issues each permission?

**A.** The group in charge of that rule

**B.** The business owner alone, by choice

**C.** Competitors

**D.** Customers

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-B1-Q5**

Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.10 (local)

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Sam wants to run a home-based tutoring business with students visiting 4 evenings a week. Which checks fit best?

**A.** Only a trademark search
**B.** Only a social media account to advertise the tutoring sessions to local families
**C.** Only a food permit
**D.** City business license, zoning limits on home visits, and his lease or HOA rules

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F1-Q1**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.10 (local)

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A food truck plans to sell in two cities. What should the owner check?

**A.** Nothing, trucks are always exempt

**B.** Each city's permits and rules

**C.** Only the truck's paint color

**D.** One city's rules, since all cities match

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F1-Q2**

Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.10 (local)

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A city charges 50 dollars for a business license and 120 dollars for a sign permit. What is the total for both?

**A.** 170 dollars

**B.** 120 dollars

**C.** 70 dollars

**D.** 50 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F1-Q3**

Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.LEGAL.10 (local)

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An online-only digital product seller works from home with no visitors. Which check is still sensible?

**A.** A liquor license
**B.** Whether the city or state requires a general business license or registration
**C.** A food handler permit and a restaurant health inspection for the home kitchen
**D.** A construction permit

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F1-Q4**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.10 (local)

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Where is the best place to find local requirements?

**A.** The city or county government's business office or website

**B.** A random forum post

**C.** A competitor

**D.** The comment section under a video about business licenses

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F1-Q5**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.10 (local)

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A friend says, "Home businesses never need permits." What is wrong with this?

**A.** Nothing; it is always true
**B.** Rules depend on the activity and location
**C.** Only big businesses exist
**D.** Home businesses are illegal everywhere

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F2-Q1**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.10 (local)

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A dog groomer's city allows home businesses, but her homeowner association bans customer visits. What should she do?

**A.** Assume rules never get enforced
**B.** Ask customers to keep visits secret
**C.** Follow both sets of rules or find another location
**D.** Ignore the association because the city allows it

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F2-Q2**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.10 (local)

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Which missing check is the biggest risk in this plan? "Rent a shop, print signs, open next week."

**A.** Whether the printed signs are colorful enough to attract walkers
**B.** Whether competitors are nearby
**C.** Whether zoning and permits allow this use at the shop
**D.** Whether the website loads fast

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F2-Q3**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.10 (local)

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A license must be renewed each year. What is a sensible habit?

**A.** Put renewal dates on a deadline calendar
**B.** Wait for a reminder that may never come
**C.** Assume one license lasts forever
**D.** Renew only if inspected

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F2-Q4**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.10 (local)

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Which statement is accurate for this course?

**A.** Rules vary by place, so check the official sources where you operate.
**B.** New Jersey's rules apply the same way everywhere in the US.
**C.** Federal rules replace all local rules.
**D.** No business needs any permission.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F2-Q5**
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.10 (local)

# Set 29: When a professional helps

## Outcome ENT.LEGAL.11: Decide when a question needs an attorney, accountant or other professional, and prepare for the meeting

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Some questions are worth paying an expert to answer. An ATTORNEY helps with legal questions: contracts, entity choice, disputes, leases and trademarks. An ACCOUNTANT or tax professional helps with taxes, bookkeeping set-up, tax elections and estimated payments. An INSURANCE AGENT helps match coverage to risks. Get help when the stakes are high, the rules are complex, or a mistake would be hard to undo. Prepare: write your questions, bring documents, and ask about fees before you start.

Which professional best fits a question about a confusing lease clause?

**A.** A graphic designer who made the logo
**B.** A social media manager
**C.** An attorney
**D.** A delivery driver

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q1**
Entrepreneurship, Set 29: When a professional helps · MAIN · Q1/5 · Outcome ENT.LEGAL.11 (local)

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Which professional best fits a question about whether to make a tax election?

**A.** A web developer who builds websites
**B.** An accountant or tax professional
**C.** A sign maker
**D.** A florist

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q2**
Entrepreneurship, Set 29: When a professional helps · MAIN · Q2/5 · Outcome ENT.LEGAL.11 (local)

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When is professional help most worth paying for?

**A.** When ordering pens
**B.** When stakes are high and mistakes are hard to undo
**C.** When picking a lunch spot
**D.** When choosing a font for the business's social media posts

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q3**
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What is a good way to prepare for a meeting with an expert?

**A.** Arrive with no questions to save time
**B.** Avoid asking about fees
**C.** Bring only a logo sketch
**D.** Write questions and bring documents

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q4**
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Which professional helps match coverage to business risks?

**A.** A trademark examiner at the agency
**B.** A banker
**C.** A copywriter
**D.** An insurance agent or broker

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q5**
Entrepreneurship, Set 29: When a professional helps · MAIN · Q5/5 · Outcome ENT.LEGAL.11 (local)

**Learn**
Think of health: you see a dentist for teeth and an eye doctor for eyes. Business questions work the same way. Legal questions (contracts, leases, disputes) go to an attorney. Money and tax questions go to an accountant or tax professional. Coverage questions go to an insurance agent. Asking the right expert saves time and gets a better answer.

A contract question goes to whom?

**A.** A designer
**B.** An accountant
**C.** An insurance agent
**D.** An attorney

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q1**
Entrepreneurship, Set 29: When a professional helps · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.11 (local)

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A tax question goes to whom?

**A.** A dentist
**B.** An attorney only, never anyone else
**C.** An accountant or tax professional
**D.** A designer

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q2**
Entrepreneurship, Set 29: When a professional helps · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.11 (local)

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An insurance coverage question goes to whom?

**A.** A chef
**B.** A tutor
**C.** A store cashier
**D.** An insurance agent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q3**
Entrepreneurship, Set 29: When a professional helps · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.11 (local)

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Why match the question to the expert?

**A.** To avoid all advice
**B.** To get a better answer faster
**C.** To confuse the expert on purpose
**D.** To pay more

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q4**
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A dentist for teeth is like what for a lease dispute?

**A.** An attorney
**B.** A house painter
**C.** A baker
**D.** A coach

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q5**
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Mia is about to sign a 5-year commercial lease with a personal guarantee. What is the best step?

**A.** Have an attorney review it before signing
**B.** Ask a friend who once rented an apartment
**C.** Sign quickly before the landlord changes his mind
**D.** Skip reading the guarantee page

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q1**
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Jon needs to choose a font for his flyers. Does he need an attorney?

**A.** Yes, attorneys design flyers
**B.** Yes, every decision needs an attorney
**C.** No, this is a low-stakes design choice
**D.** Yes, fonts are legal contracts

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q2**
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An attorney charges 200 dollars an hour. A lease review takes 1.5 hours. What is the cost?

**A.** 300 dollars
**B.** 201.5 dollars
**C.** 200 dollars
**D.** 400 dollars

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Which question is best brought to a tax professional?

**A.** Which supplier has nicer boxes
**B.** How to write an Instagram caption
**C.** How to plan estimated tax payments for a new business
**D.** Which color to paint the shop's front door this spring

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q4**
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A founder can afford only one paid consultation this month. Which use is most valuable?

**A.** Reviewing the partnership agreement before both partners sign
**B.** Naming a product flavor
**C.** Picking a nice email signature for every message she sends
**D.** Choosing a logo color

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q5**
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A free online article explains LLC rules but is from another state and five years old. What is the limit?

**A.** It fully replaces all professional advice for every owner

**B.** Articles can never be useful

**C.** It is always perfectly accurate

**D.** It may not match current rules where you operate

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q1**
Entrepreneurship, Set 29: When a professional helps · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.11 (local)

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A founder asks a lawyer friend casually at a party about a lawsuit threat. What is the concern?

**A.** The lawsuit will disappear
**B.** Lawyers never answer questions
**C.** Casual answers may be incomplete; a proper consultation is safer
**D.** No concern; advice given at a party is binding and complete

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q2**
Entrepreneurship, Set 29: When a professional helps · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.11 (local)

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Before hiring an accountant, which question should the owner ask?

**A.** Whether the accountant uses social media
**B.** What the fee is and what is included
**C.** Whether the accountant likes the logo
**D.** What the accountant's favorite movie is

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q3**
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A founder uses an AI tool to draft a contract. What is the sensible next step for an important deal?

**A.** Assume AI drafts are legally verified
**B.** Sign it as written
**C.** Have a qualified professional review it
**D.** Delete all contracts

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q4**
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Which statement fits this course?

**A.** Professionals are never needed.

**B.** Education explains what to check; individual decisions may need professional advice.

**C.** Every question needs a lawyer.

**D.** This course gives each learner individual legal advice for their own business.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q5**
Entrepreneurship, Set 29: When a professional helps · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.11 (local)

# Set 30: What an EIN is

## Outcome ENT.ID.01: Explain what an Employer Identification Number (EIN) is for and when to check whether one is needed

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
An EIN (Employer Identification Number) is a nine-digit number the IRS (the federal tax agency) gives a business to identify it for federal taxes, much like a Social Security number identifies a person. Businesses that hire employees, most partnerships and corporations, and many LLCs need one. Banks often ask for it when opening a business account. Even a sole proprietor without employees may choose to get one so she can give clients the EIN instead of her Social Security number. The IRS says an EIN is free: you never have to pay a fee for one.

What is an EIN?

**A.** A registered trademark for a business name
**B.** A credit score assigned to new businesses
**C.** A state license that lets a business sell food
**D.** A federal tax ID number for a business

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q1**
Entrepreneurship, Set 30: What an EIN is · MAIN · Q1/5 · Outcome ENT.ID.01 (local)

**Learn**
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Which agency issues EINs?

**A.** The IRS
**B.** The US Postal Service
**C.** The patent and trademark office
**D.** The state's business licensing office

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q2**
Entrepreneurship, Set 30: What an EIN is · MAIN · Q2/5 · Outcome ENT.ID.01 (local)

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How much does the IRS charge for an EIN?

**A.** A fee set by each county
**B.** A 50-dollar filing fee paid online
**C.** Nothing; it is free
**D.** A yearly fee based on sales

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q3**
Entrepreneurship, Set 30: What an EIN is · MAIN · Q3/5 · Outcome ENT.ID.01 (local)

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Which business most clearly needs an EIN?

**A.** A person who only buys from businesses
**B.** A shop that hires its first employee
**C.** A child selling lemonade one afternoon
**D.** A hobby blogger who earns no money at all

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q4**
Entrepreneurship, Set 30: What an EIN is · MAIN · Q4/5 · Outcome ENT.ID.01 (local)

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Why might a sole proprietor with no employees still get an EIN?

**A.** Because it automatically creates an LLC for her
**B.** Because it protects her house from business debts
**C.** To give clients an EIN instead of her SSN
**D.** Because it removes the need to pay income tax

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q5**
Entrepreneurship, Set 30: What an EIN is · MAIN · Q5/5 · Outcome ENT.ID.01 (local)

**Learn**
People have Social Security numbers so the government can match their tax records. A business can have its own ID number too: the EIN. When the business files taxes, pays employees, or opens a bank account, the EIN tells everyone which business it is. The number does not make the business legal or protect the owner; it is simply an ID, like a student ID number at school.

An EIN is most like which of these?

**A.** A shop's front sign
**B.** A house key
**C.** A bank loan
**D.** A student ID number

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q1**
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.ID.01 (local)

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A person's tax ID is usually what?

**A.** A home street address
**B.** A zip code
**C.** A phone number
**D.** A Social Security number

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q2**
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.ID.01 (local)

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What does the EIN tell the IRS?

**A.** Where to buy supplies
**B.** How good the products are
**C.** Which business the records belong to
**D.** The owner's favorite color and hobbies

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q3**
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Does an EIN protect the owner from debts?

**A.** Yes, but only for LLC owners
**B.** Yes, from every debt
**C.** Yes, in every state
**D.** No, it is only an ID number

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q4**
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.ID.01 (local)

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When might a bank ask for an EIN?

**A.** When checking the weather
**B.** When paying at a city parking meter
**C.** When opening a business bank account
**D.** When buying a coffee

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q5**
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.ID.01 (local)

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Dee runs a one-person bookkeeping service as a sole proprietor. Clients ask for a tax ID on forms. She does not want to share her SSN widely. What fits?

**A.** Refuse all clients who ask for a tax ID
**B.** Get a free EIN and give clients that number
**C.** Make up a nine-digit number for the forms
**D.** Pay a website 200 dollars, believing it is required

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q1**
Entrepreneurship, Set 30: What an EIN is · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.ID.01 (local)

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Raj is hiring two part-time workers for his food truck. What should he get?

**A.** Only a trademark for the truck's name
**B.** Only a new business email address
**C.** An EIN from the IRS
**D.** Only a PO Box for mail

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q2**
Entrepreneurship, Set 30: What an EIN is · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.ID.01 (local)

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Which statement about an EIN is accurate?

**A.** It identifies the business for federal taxes.
**B.** It means the business has trademark rights.
**C.** It is issued by the bank that holds the account.
**D.** It replaces the business license from the city.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q3**
Entrepreneurship, Set 30: What an EIN is · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.ID.01 (local)

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An EIN has how many digits?

**A.** Twelve
**B.** Nine
**C.** Four
**D.** Six

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q4**
Entrepreneurship, Set 30: What an EIN is · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.ID.01 (local)

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Lena formed a two-owner LLC with her brother. What is the most likely situation?

**A.** The LLC can never have an EIN
**B.** Each owner must use the other's SSN
**C.** The LLC uses the state's phone number as its ID
**D.** The LLC will usually need an EIN

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q5**
Entrepreneurship, Set 30: What an EIN is · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.ID.01 (local)

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A website charges 250 dollars to "obtain your EIN." What should a founder know?

**A.** Paying more gives a better EIN
**B.** The 250 dollars is the IRS's official fee
**C.** The IRS gives EINs for free
**D.** Only paid websites can request EINs

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q1**
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.ID.01 (local)

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An owner thinks getting an EIN means she now has an LLC. What is the error?

**A.** An EIN is a tax ID, not a legal entity
**B.** There is no error; EINs create LLCs
**C.** EINs end the business's tax duties
**D.** EINs are only for corporations

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q2**
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.ID.01 (local)

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A sole proprietor shares her EIN on an invoice. Compared with sharing her SSN, what is the benefit?

**A.** Her invoices become legally binding contracts
**B.** Her Social Security number stays more private
**C.** She pays no income tax at all
**D.** Her business turns into a corporation

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q3**
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.ID.01 (local)

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Which source is best to confirm whether a business needs an EIN?

**A.** A competitor's guess
**B.** A comment on a social media post
**C.** The IRS website
**D.** An old flyer from a print shop

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q4**
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.ID.01 (local)

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An owner loses track of her EIN. What is a sensible first step?

**A.** Use a random nine-digit number on forms until she finds it
**B.** Stop filing taxes until it turns up
**C.** Apply for many new EINs right away
**D.** Check earlier IRS letters or bank and tax records

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q5**
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.ID.01 (local)

# Set 31: Applying from the official source

## Outcome ENT.ID.02: Recognize the official free EIN application and unnecessary third-party charges

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
The IRS lets businesses apply for an EIN directly, including online, at no charge. The online application asks for a "responsible party": an individual who controls the business, with a Social Security number (SSN) or ITIN. It is for businesses located in the US or its territories, and it must be completed in one session. The IRS advises forming an LLC, partnership or corporation with the state first; applying before the entity exists may delay things. Be careful with look-alike websites that charge fees.

Where should an owner apply for an EIN to avoid unnecessary fees?

**A.** Through the city hall front desk
**B.** Through any website that appears first in an ad
**C.** Directly with the IRS
**D.** Through the business's bank teller

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q1**
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q1/5 · Outcome ENT.ID.02 (local)

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What is the "responsible party" on the application?

**A.** An individual who controls the business
**B.** Any customer who bought something from the business
**C.** The state office that approved the LLC
**D.** The bank that will hold the business account

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q2**
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q2/5 · Outcome ENT.ID.02 (local)

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What must the responsible party have for the online application?

**A.** A college degree in business
**B.** An SSN or ITIN
**C.** A business credit card with a high limit
**D.** A registered trademark for the name

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q3**
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q3/5 · Outcome ENT.ID.02 (local)

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An owner is forming an LLC. What order does the IRS advise?

**A.** Apply for the EIN, then decide on a business later
**B.** Print invoices, then decide on the business form
**C.** Open a bank account, then form the LLC years later
**D.** Form the LLC with the state, then apply for the EIN

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q4**
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q4/5 · Outcome ENT.ID.02 (local)

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What does the IRS say about completing the online application?

**A.** It must be finished in one session
**B.** It must be signed in person at a bank
**C.** It can be saved for three weeks and resumed
**D.** It must be mailed in on paper afterward

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q5**
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q5/5 · Outcome ENT.ID.02 (local)

**Learn**
Imagine renewing a library card. You can go to the library desk and do it for free, or pay a stranger outside to stand in line for you. The stranger may help, but the library itself does not charge. Applying for an EIN is similar: the IRS is the official counter and does not charge. Websites that look official may add fees for doing the same thing.

In the story, who is the official counter?

**A.** The stranger outside
**B.** The library desk
**C.** A bookstore
**D.** The parking lot

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q1**
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.ID.02 (local)

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For an EIN, who is the official counter?

**A.** A competitor
**B.** A paid website
**C.** A friend
**D.** The IRS

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q2**
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.ID.02 (local)

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Does the official counter charge for an EIN?

**A.** Yes, 100 dollars
**B.** Only on weekends
**C.** No
**D.** Yes, monthly

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q3**
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.ID.02 (local)

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What might a middleman website add?

**A.** A trademark
**B.** Its own fee
**C.** A free gift card
**D.** A business loan

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q4**
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.ID.02 (local)

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What is the safest way to avoid extra fees?

**A.** Pay whoever asks
**B.** Guess a number
**C.** Click the first ad you see
**D.** Use the official IRS site

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q5**
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Pat wants to apply online but has not decided who controls the business with his partner. What should he do first?

**A.** Decide who the responsible party is before starting
**B.** Apply twice, once for each partner
**C.** List a loyal customer as the responsible party instead
**D.** Start and leave the field blank

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q1**
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A founder searched "get EIN" and found a site charging 199 dollars that looks official. What should she check?

**A.** Whether the site has nice colors
**B.** Whether the price is lower than another paid EIN website
**C.** Whether the site has many ads
**D.** Whether the web address is the IRS's official irs.gov site

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q2**
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Kai plans to form an LLC next month. He wants an EIN today for the future LLC. What does the IRS advise?

**A.** Apply today; order never matters
**B.** Form the LLC first, then apply
**C.** Skip the EIN entirely for an LLC
**D.** Use his own SSN as the LLC's EIN forever

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Which information should be ready before starting the online application?

**A.** The logo file, brand colors and a sample of the website
**B.** Next year's marketing plan
**C.** The business type and responsible party's SSN or ITIN
**D.** A list of competitors' prices

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q4**
Entrepreneurship, Set 31: Applying from the official source · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.ID.02 (local)

**Learn**
The IRS lets businesses apply for an EIN directly, including online, at no charge. The online application asks for a "responsible party": an individual who controls the business, with a Social Security number (SSN) or ITIN. It is for businesses located in the US or its territories, and it must be completed in one session. The IRS advises forming an LLC, partnership or corporation with the state first; applying before the entity exists may delay things. Be careful with look-alike websites that charge fees.

Nora saved 199 dollars by applying directly with the IRS instead of a paid site. If she had also avoided a 49-dollar "rush" add-on, how much did she save in total?

**A.** 199 dollars

**B.** 49 dollars

**C.** 150 dollars

**D.** 248 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q5**
Entrepreneurship, Set 31: Applying from the official source · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.ID.02 (local)

**Learn**
The IRS lets businesses apply for an EIN directly, including online, at no charge. The online application asks for a "responsible party": an individual who controls the business, with a Social Security number (SSN) or ITIN. It is for businesses located in the US or its territories, and it must be completed in one session. The IRS advises forming an LLC, partnership or corporation with the state first; applying before the entity exists may delay things. Be careful with look-alike websites that charge fees.

A founder has no SSN or ITIN. What does the IRS page say about the online application?

**A.** It requires an SSN or ITIN, so another IRS method may be needed
**B.** She can never get an EIN
**C.** Anyone can apply online without any SSN or ITIN at all
**D.** She should use a friend's SSN

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q1**
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.ID.02 (local)

**Learn**
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An email says, "Your EIN expires. Pay 75 dollars to renew." What should the owner do?

**A.** Reply with her bank details
**B.** Click the link and enter her SSN
**C.** Treat it as suspicious and check with the IRS directly
**D.** Pay quickly by card so the business does not lose its EIN

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q2**
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.ID.02 (local)

**Learn**
The IRS lets businesses apply for an EIN directly, including online, at no charge. The online application asks for a "responsible party": an individual who controls the business, with a Social Security number (SSN) or ITIN. It is for businesses located in the US or its territories, and it must be completed in one session. The IRS advises forming an LLC, partnership or corporation with the state first; applying before the entity exists may delay things. Be careful with look-alike websites that charge fees.

A business is located outside the US. What does the IRS online page say?

**A.** Foreign businesses get EINs from their bank
**B.** Every business located abroad must use only the online tool
**C.** Foreign businesses can never get an EIN
**D.** The online application is for businesses in the US or its territories

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q3**
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.ID.02 (local)

**Learn**
The IRS lets businesses apply for an EIN directly, including online, at no charge. The online application asks for a "responsible party": an individual who controls the business, with a Social Security number (SSN) or ITIN. It is for businesses located in the US or its territories, and it must be completed in one session. The IRS advises forming an LLC, partnership or corporation with the state first; applying before the entity exists may delay things. Be careful with look-alike websites that charge fees.

An owner started the online form, left for lunch and came back. What might happen?

**A.** She gets two EINs
**B.** She may need to start again because it is one session
**C.** The IRS mails her the EIN anyway
**D.** Her progress is saved for several months automatically

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q4**
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.ID.02 (local)

**Learn**
The IRS lets businesses apply for an EIN directly, including online, at no charge. The online application asks for a "responsible party": an individual who controls the business, with a Social Security number (SSN) or ITIN. It is for businesses located in the US or its territories, and it must be completed in one session. The IRS advises forming an LLC, partnership or corporation with the state first; applying before the entity exists may delay things. Be careful with look-alike websites that charge fees.

Which statement is accurate?

**A.** Rules on the IRS site can change, so check it when applying.
**B.** Paid websites set IRS rules.
**C.** IRS rules never change.
**D.** Banks decide which businesses are allowed to get an EIN.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q5**
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.ID.02 (local)

# Set 32: EIN, state tax ID and registration

## Outcome ENT.ID.03: Tell an EIN, a state tax account and a business registration apart, and their usual order

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

Which ID is the federal tax ID?

**A.** The state sales tax permit
**B.** The EIN
**C.** The DBA certificate number
**D.** The city business license number

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q1**
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q1/5 · Outcome ENT.ID.03 (local)

**Learn**
Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

A shop will collect sales tax. Which ID is it most likely to need from the state?

**A.** Only a trademark registration
**B.** Only a domain name registration for the site
**C.** Only an EIN from the IRS
**D.** A state tax account or sales tax permit

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q2**
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q2/5 · Outcome ENT.ID.03 (local)

**Learn**
Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

What does business registration (like forming an LLC) do?

**A.** Replaces all business licenses
**B.** Collects sales tax for the state
**C.** Records the business with the state
**D.** Gives a federal tax ID number

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q3**
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q3/5 · Outcome ENT.ID.03 (local)

**Learn**
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Does an EIN replace a city business license?

**A.** No, they do different jobs
**B.** Yes, if the business has an LLC
**C.** Yes, but only for food businesses
**D.** Yes, an EIN covers every permission

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q4**
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q4/5 · Outcome ENT.ID.03 (local)

**Learn**
Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

According to the SBA launch steps, how are federal and state tax IDs treated?

**A.** As the same as a trademark
**B.** As separate steps
**C.** As one single combined number
**D.** As optional for all businesses

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q5**
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q5/5 · Outcome ENT.ID.03 (local)

**Learn**
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

Why can't a gym card be used at the library?

**A.** Gym cards are illegal
**B.** Each card is for a different place
**C.** Gym cards are too big to fit in slots
**D.** Libraries are closed

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q1**
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.ID.03 (local)

**Learn**
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

The EIN is the card for which office?

**A.** The city
**B.** The post office
**C.** The state tax agency
**D.** The IRS

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q2**
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.ID.03 (local)

**Learn**
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

A state tax account is the card for which office?

**A.** The IRS
**B.** The bank
**C.** The state tax agency
**D.** The trademark office

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q3**
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.ID.03 (local)

**Learn**
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

A license is like which wallet card?

**A.** A coupon
**B.** A photo
**C.** A pass letting you do something
**D.** A store receipt from shopping

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q4**
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.ID.03 (local)

**Learn**
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

Can one business ID replace all the others?

**A.** Yes, the DBA
**B.** Yes, the EIN
**C.** No
**D.** Yes, any card

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q5**
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.ID.03 (local)

**Learn**
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Mara is opening a retail gift shop LLC with one employee. Which list is most complete?

**A.** EIN only
**B.** LLC registration, EIN, state tax account, local license
**C.** DBA and logo only
**D.** A local license only, with no tax IDs or LLC filing

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q1**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.ID.03 (local)

**Learn**
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Theo got an EIN and thinks he is ready to collect sales tax. What is missing?

**A.** A state sales tax permit or account
**B.** A new domain name
**C.** Nothing, the EIN covers sales tax
**D.** A trademark search

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q2**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.ID.03 (local)

**Learn**
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Which item gives permission to operate in the city?

**A.** The EIN
**B.** The DBA filing
**C.** A city business license
**D.** The state tax account

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q3**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.ID.03 (local)

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A business owner counts 4 required items and has finished 3. What fraction is done?

**A.** 3/4
**B.** 1/4
**C.** 4/3
**D.** 3/7

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q4**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.ID.03 (local)

**Learn**
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Which source lists federal and state tax IDs as launch steps?

**A.** A competitor's social media page
**B.** An old print advertisement
**C.** A random online forum
**D.** The SBA's launch guide

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q5**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.ID.03 (local)

**Learn**
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An owner gives a state tax form her EIN in the box for her state account number. What is the problem?

**A.** The EIN and state account number are different IDs

**B.** The state only needs her logo

**C.** No problem; the federal and state numbers are always identical

**D.** The state form needs a trademark

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q1**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.ID.03 (local)

**Learn**
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A seller thinks a DBA filing gives her a state tax account. What is the error?

**A.** DBAs are federal IDs
**B.** No error; a DBA filing also opens a state tax account
**C.** A DBA registers a name, not a tax account
**D.** DBAs replace the EIN

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q2**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.ID.03 (local)

**Learn**
Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

A business moves to a new state. Which items should it check?

**A.** Only its logo colors
**B.** Only the EIN, which must be replaced
**C.** Nothing; every state registration and license transfers automatically
**D.** State registration, state tax accounts and local licenses there

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q3**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.ID.03 (local)

**Learn**
Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

Which statement is accurate?

**A.** No business needs a state ID.

**B.** Requirements depend on the state, the activity and whether there are employees.

**C.** Every business in every state needs exactly the same IDs and filings.

**D.** Only big companies need IDs.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q4**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.ID.03 (local)

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Where should a founder check state tax ID needs?

**A.** The IRS only
**B.** A neighbor's guess
**C.** The comment section under a business video
**D.** The state tax agency's official website

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q5**
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.ID.03 (local)

# Set 33: A separate business bank account

## Outcome ENT.BANK.01: Explain why business money belongs in a separate account

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
A separate business bank account keeps business money apart from personal money. All business income goes in and all business expenses come out of it. This makes bookkeeping and taxes easier, shows clearly what the business earns, and helps support the separation between an LLC or corporation and its owner. Mixing personal and business money in one account is called COMMINGLING. It makes records confusing and can weaken liability protection. The SBA lists opening a business bank account as a launch step.

What is commingling?

**A.** Keeping receipts in a folder by month
**B.** Paying taxes on time each quarter
**C.** Mixing personal and business money
**D.** Opening several savings accounts at once

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q1**
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q1/5 · Outcome ENT.BANK.01 (local)

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What is one benefit of a separate business account?

**A.** The owner never needs to keep receipts
**B.** Bookkeeping and taxes are easier
**C.** The business pays no taxes at all
**D.** Customers must pay in cash only

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q2**
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q2/5 · Outcome ENT.BANK.01 (local)

**Learn**
A separate business bank account keeps business money apart from personal money. All business income goes in and all business expenses come out of it. This makes bookkeeping and taxes easier, shows clearly what the business earns, and helps support the separation between an LLC or corporation and its owner. Mixing personal and business money in one account is called COMMINGLING. It makes records confusing and can weaken liability protection. The SBA lists opening a business bank account as a launch step.

Which money should go into the business account?

**A.** All business income
**B.** Only the owner's birthday gifts
**C.** Nothing; it should stay empty
**D.** Only cash from personal savings

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q3**
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q3/5 · Outcome ENT.BANK.01 (local)

**Learn**
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How can commingling affect an LLC owner?

**A.** It removes the need for licenses
**B.** It always lowers the owner's taxes
**C.** It makes the LLC a trademark
**D.** It can weaken liability protection

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q4**
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q4/5 · Outcome ENT.BANK.01 (local)

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Which purchase belongs on the business account?

**A.** The owner's gym membership
**B.** A family vacation
**C.** Packaging supplies for orders
**D.** The owner's groceries

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q5**
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q5/5 · Outcome ENT.BANK.01 (local)

**Learn**
Imagine two jars on a shelf: one labeled HOME and one labeled BUSINESS. Money from customers goes in the BUSINESS jar, and business supplies are paid from it. Money for groceries and rent comes from the HOME jar. If you pour both into one jar, you cannot tell how much the business earned. A separate business bank account is the BUSINESS jar.

Customer payments go in which jar?

**A.** Neither jar
**B.** The BUSINESS jar
**C.** The HOME jar
**D.** A third secret jar

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q1**
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.01 (local)

**Learn**
Imagine two jars on a shelf: one labeled HOME and one labeled BUSINESS. Money from customers goes in the BUSINESS jar, and business supplies are paid from it. Money for groceries and rent comes from the HOME jar. If you pour both into one jar, you cannot tell how much the business earned. A separate business bank account is the BUSINESS jar.

Groceries are paid from which jar?

**A.** The BUSINESS jar
**B.** No jar
**C.** Both jars equally
**D.** The HOME jar

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q2**
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.01 (local)

**Learn**
Imagine two jars on a shelf: one labeled HOME and one labeled BUSINESS. Money from customers goes in the BUSINESS jar, and business supplies are paid from it. Money for groceries and rent comes from the HOME jar. If you pour both into one jar, you cannot tell how much the business earned. A separate business bank account is the BUSINESS jar.

What happens if both jars are poured into one?

**A.** You cannot tell what the business earned
**B.** Nothing changes
**C.** Taxes disappear
**D.** The business automatically earns more money

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q3**
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BANK.01 (local)

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A business bank account is like which jar?

**A.** The HOME jar for family money
**B.** The BUSINESS jar
**C.** A broken jar
**D.** A cookie jar

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q4**
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.01 (local)

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Business supplies are paid from which jar?

**A.** A neighbor's jar
**B.** The HOME jar
**C.** The BUSINESS jar
**D.** No jar

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q5**
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BANK.01 (local)

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Gia's client pays 600 dollars for a design project. Where should it be deposited?

**A.** The business account
**B.** Her personal savings for safekeeping
**C.** Her child's school account
**D.** Split randomly between accounts

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q1**
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Ben pays for his personal phone and his business software from one personal card. What is the issue?

**A.** Nothing, one card is always best
**B.** Phones are illegal for businesses
**C.** Software is never a business cost
**D.** Business and personal costs are mixed

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q2**
Entrepreneurship, Set 33: A separate business bank account · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BANK.01 (local)

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In a month, the business account shows deposits of 3,200 dollars and expenses of 2,450 dollars. What is the net change?

**A.** 750 dollars less

**B.** 2,450 dollars more

**C.** 750 dollars more

**D.** 5,650 dollars more

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q3**
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Which is commingling?

**A.** Paying the LLC's web hosting from the LLC account
**B.** Paying the owner's rent from the LLC account
**C.** Paying supplier invoices from the LLC account
**D.** Depositing client payments in the LLC account

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q4**
Entrepreneurship, Set 33: A separate business bank account · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BANK.01 (local)

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A new freelancer has no LLC. Is a separate account still useful?

**A.** Yes, it keeps records clearer
**B.** No, it raises taxes automatically
**C.** No, freelancers cannot open them
**D.** No, only corporations may have one

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q5**
Entrepreneurship, Set 33: A separate business bank account · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BANK.01 (local)

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Ava accidentally paid a 40-dollar personal dinner with the business card. What is a sensible fix?

**A.** Close the business account
**B.** Ignore it, since small mistakes on business cards never matter
**C.** Record it and repay the business from personal money
**D.** Call it a business expense anyway

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q1**
Entrepreneurship, Set 33: A separate business bank account · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.01 (local)

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A customer pays by a payment app linked to the owner's personal account. What should the owner change?

**A.** Link the payment app to the business account
**B.** Nothing, apps never matter
**C.** Delete all records
**D.** Ask customers to stop paying through the app

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q2**
Entrepreneurship, Set 33: A separate business bank account · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BANK.01 (local)

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An owner pays herself from the business by moving money to her personal account and noting it. Is that commingling?

**A.** Yes, owners can never be paid
**B.** Yes, every transfer from business to owner is illegal
**C.** Only if done on Mondays
**D.** No, a recorded transfer to the owner is a normal step

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q3**
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Which habit best prevents commingling?

**A.** Pay all costs in untracked cash
**B.** Use whichever card is closest
**C.** Use business cards and accounts only for business
**D.** Keep one shared card for both kinds of spending

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q4**
Entrepreneurship, Set 33: A separate business bank account · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BANK.01 (local)

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Which statement is accurate?

**A.** A separate account by itself makes the owner immune to every lawsuit and every business debt.

**B.** A separate account removes the need for bookkeeping.

**C.** A separate account helps, but it does not by itself guarantee liability protection.

**D.** A separate account eliminates taxes.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q5**
Entrepreneurship, Set 33: A separate business bank account · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.01 (local)

# Set 34: Opening the account: documents, fees, signers

## Outcome ENT.BANK.02: Identify documents a bank may ask for, account fees and who may sign

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Banks set their own rules, but opening a business account usually requires: the business's formation papers (for an LLC or corporation), the EIN (or an SSN for some sole proprietors), a DBA certificate if using a trade name, and personal ID for each signer. A SIGNER is a person allowed to use the account. Compare accounts: monthly fees, minimum balance needed to avoid fees, transaction limits, cash deposit fees and online tools. Read the fee schedule before choosing; a "free" account may have conditions.

What is a signer on a bank account?

**A.** The bank employee who opened the account
**B.** A customer who pays the business by check
**C.** A person allowed to use the account
**D.** The state office that approved the LLC

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q1**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q1/5 · Outcome ENT.BANK.02 (local)

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Which document does a bank commonly ask for when opening an LLC account?

**A.** The company's logo file
**B.** A competitor's price list
**C.** The owner's high school report card
**D.** The LLC's formation papers

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q2**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q2/5 · Outcome ENT.BANK.02 (local)

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A sole proprietor uses the trade name "Pine Cleaners." What may the bank ask for?

**A.** A trademark from another country
**B.** A DBA certificate
**C.** A food permit
**D.** An operating agreement only

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q3**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q3/5 · Outcome ENT.BANK.02 (local)

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An account is "free" if the balance stays above 1,500 dollars. What should an owner check?

**A.** Whether she can keep that minimum balance
**B.** Whether the bank's logo is attractive
**C.** Whether the lobby has coffee
**D.** Whether her friends bank there

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q4**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q4/5 · Outcome ENT.BANK.02 (local)

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Which is part of comparing business accounts?

**A.** The color of the debit card only
**B.** How tall the bank building is
**C.** The bank's TV ads
**D.** Monthly fees and transaction limits

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q5**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q5/5 · Outcome ENT.BANK.02 (local)

**Learn**
Opening a business account is like checking in for a flight: you bring the right papers or you get sent back. Bring proof the business exists (formation papers or a DBA certificate), the tax ID (EIN), and a photo ID for each person who will use the account. Then, like comparing airline baggage fees, compare the account's fees before you choose.

What happens if you arrive without the right papers?

**A.** Nothing at all
**B.** You may be sent back
**C.** You get a free account
**D.** The bank guesses for you

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q1**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.02 (local)

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Which shows the business exists?

**A.** A social media page for the business
**B.** A photo of the shop
**C.** Formation papers or a DBA certificate
**D.** A business card

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q2**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.02 (local)

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Which ID does each account user bring?

**A.** A personal photo ID
**B.** A coupon
**C.** A gym card
**D.** A library card only

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q3**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BANK.02 (local)

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Comparing account fees is like comparing what?

**A.** Airline baggage fees
**B.** Paint colors at a hardware store
**C.** Movie plots
**D.** Song lyrics

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q4**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.02 (local)

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Which tax ID do you bring?

**A.** A license plate
**B.** A zip code
**C.** The EIN
**D.** A phone number

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q5**
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Account A costs 15 dollars a month. Account B costs 5 dollars a month plus 0.50 dollars per deposit after 20 deposits. A business makes 30 deposits a month. Which costs less?

**A.** Account B (10 dollars)
**B.** Account B (20 dollars)
**C.** They cost the same
**D.** Account A (15 dollars)

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F1-Q1**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BANK.02 (local)

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Tia's LLC has two owners who will both write checks. What must the bank set up?

**A.** Only Tia, while her partner uses Tia's card
**B.** A customer as a signer
**C.** No signers; the LLC signs itself
**D.** Both owners as signers with ID

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F1-Q2**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BANK.02 (local)

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An account waives its 12-dollar monthly fee if the balance stays above 1,000 dollars. Ken's balance usually drops to 400 dollars. What yearly fee should he expect?

**A.** 144 dollars
**B.** 12 dollars
**C.** 0 dollars
**D.** 400 dollars

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Which document is the bank LEAST likely to require?

**A.** Formation papers
**B.** The business's marketing plan
**C.** The EIN
**D.** A photo ID for each signer

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A cash-heavy food truck compares accounts. Which fee matters most to it?

**A.** International wire fees
**B.** Check-printing designs
**C.** Branch decor
**D.** Cash deposit fees

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F1-Q5**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BANK.02 (local)

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A partner leaves the business but is still a signer. What should the remaining owner do?

**A.** Close every account immediately
**B.** Share the password with the former partner
**C.** Ask the bank to remove that signer
**D.** Nothing; old signers lose access automatically

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q1**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.02 (local)

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A bank ad says "Free business checking." What should the owner do before opening?

**A.** Read the fee schedule and conditions
**B.** Assume all banks are the same
**C.** Ask a stranger online
**D.** Open it right away; free means no fees ever

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q2**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BANK.02 (local)

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An owner gives her bookkeeper her own online banking password. What is a better option?

**A.** Use the same password for everything
**B.** Post the password where every staff member can see it
**C.** Share her ID card too
**D.** Ask the bank about separate access for the bookkeeper

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q3**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BANK.02 (local)

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The bank asks for documents the owner did not expect. What is the reason most likely?

**A.** The bank is breaking the law
**B.** Banks set their own rules for opening accounts
**C.** The IRS controls bank forms
**D.** The business is not allowed to exist in that state

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q4**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BANK.02 (local)

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Which statement is accurate?

**A.** Every bank charges exactly the same monthly and deposit fees.
**B.** Banks never ask for ID.
**C.** No bank ever charges business fees.
**D.** Account requirements and fees vary by bank, so compare before choosing.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q5**
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.02 (local)

# Set 35: Debit, credit and payment processing

## Outcome ENT.BANK.03: Tell debit cards, credit cards and payment processors apart, including when money arrives

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
A business DEBIT card takes money straight from the business account. A business CREDIT card borrows money that must be repaid; unpaid balances usually charge interest. A PAYMENT PROCESSOR is a company that lets the business accept card or app payments from customers; it charges a fee, often a percentage plus a small fixed amount per sale, and deposits the rest into the business account, usually a day or more later. Know which tool moves money in, and which moves money out.

Where does a business debit card take money from?

**A.** The business bank account
**B.** A loan that must be repaid with interest
**C.** The customer's bank account directly
**D.** The owner's personal savings account

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q1**
Entrepreneurship, Set 35: Debit, credit and payment processing · MAIN · Q1/5 · Outcome ENT.BANK.03 (local)

**Learn**
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What happens if a credit card balance is not paid in full?

**A.** The bank pays the balance for the business
**B.** Interest is usually charged
**C.** The card becomes a debit card
**D.** The balance is forgiven after a month

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q2**
Entrepreneurship, Set 35: Debit, credit and payment processing · MAIN · Q2/5 · Outcome ENT.BANK.03 (local)

**Learn**
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What does a payment processor do?

**A.** Files the business's yearly tax return
**B.** Registers the business name with the state
**C.** Designs the online store
**D.** Lets the business accept customer card payments

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q3**
Entrepreneurship, Set 35: Debit, credit and payment processing · MAIN · Q3/5 · Outcome ENT.BANK.03 (local)

**Learn**
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Which tool brings money IN from customers?

**A.** A business debit card
**B.** A business credit card
**C.** A payment processor
**D.** A checkbook

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q4**
Entrepreneurship, Set 35: Debit, credit and payment processing · MAIN · Q4/5 · Outcome ENT.BANK.03 (local)

**Learn**
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When does the processor usually deposit the money?

**A.** Exactly one year later
**B.** A day or more after the sale
**C.** Before the customer buys anything
**D.** Never; it keeps the money

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q5**
Entrepreneurship, Set 35: Debit, credit and payment processing · MAIN · Q5/5 · Outcome ENT.BANK.03 (local)

**Learn**
Think of money moving through doors. A payment processor is an IN door: customers' card payments come through it into the business account, minus a fee. A debit card is an OUT door: money leaves the account immediately. A credit card is a borrowed OUT door: you spend now and must pay the card company back later, sometimes with interest.

A payment processor is which door?

**A.** An IN door
**B.** A locked door
**C.** No door
**D.** An OUT door

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q1**
Entrepreneurship, Set 35: Debit, credit and payment processing · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.03 (local)

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A debit card is which door?

**A.** A locked door
**B.** An IN door
**C.** An OUT door
**D.** A borrowed door

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q2**
Entrepreneurship, Set 35: Debit, credit and payment processing · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.03 (local)

**Learn**
Think of money moving through doors. A payment processor is an IN door: customers' card payments come through it into the business account, minus a fee. A debit card is an OUT door: money leaves the account immediately. A credit card is a borrowed OUT door: you spend now and must pay the card company back later, sometimes with interest.

A credit card is which door?

**A.** A locked door with no key
**B.** A borrowed OUT door
**C.** A free door
**D.** An IN door

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q3**
Entrepreneurship, Set 35: Debit, credit and payment processing · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BANK.03 (local)

**Learn**
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What does the processor keep?

**A.** The customer's card
**B.** A fee
**C.** The whole sale
**D.** Nothing

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q4**
Entrepreneurship, Set 35: Debit, credit and payment processing · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.03 (local)

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What may you owe on a credit card later?

**A.** The balance and maybe interest
**B.** A free gift
**C.** Only a thank-you note to the card company
**D.** Nothing

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q5**
Entrepreneurship, Set 35: Debit, credit and payment processing · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BANK.03 (local)

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A processor charges 2.9 percent plus 0.30 dollars per sale. A sale is 50 dollars. What is the fee?

**A.** 1.75 dollars

**B.** 1.45 dollars

**C.** 3.20 dollars

**D.** 0.30 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q1**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BANK.03 (local)

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Using the same fee, how much is deposited for the 50-dollar sale?

**A.** 50.00 dollars
**B.** 48.55 dollars
**C.** 48.25 dollars
**D.** 46.80 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q2**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BANK.03 (local)

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Lou buys 300 dollars of supplies with a business credit card and pays the whole bill on time. What interest does he pay, assuming the card charges none when paid in full?

**A.** 30 dollars
**B.** 0 dollars
**C.** 3 dollars
**D.** 300 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q3**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BANK.03 (local)

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A business wants to stop overspending money it does not have. Which card fits that goal?

**A.** A business debit card
**B.** A store credit account
**C.** Several new credit cards
**D.** A credit card with a high limit

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q4**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BANK.03 (local)

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A customer pays by card on Friday. The owner needs the cash Friday afternoon. What should she know?

**A.** Cash arrives in her wallet instantly

**B.** Card sales never deposit

**C.** Processor deposits often arrive a day or more later

**D.** Card deposits always arrive before the customer even pays

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q5**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BANK.03 (local)

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An owner charges 2,000 dollars on a credit card and pays only the minimum each month. What is the main risk?

**A.** The purchase becomes free

**B.** No risk; minimum payments clear the debt quickly

**C.** The bank cancels the debt

**D.** Interest builds and the debt lasts a long time

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q1**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.03 (local)

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Two processors: one charges 2.6 percent plus 0.15 dollars per sale, one charges 3 percent with no fixed fee. For a 10-dollar sale, which costs less?

**A.** 2.6 percent plus 0.15 dollars (0.41 dollars)

**B.** 3 percent (0.30 dollars)

**C.** They cost the same

**D.** 3 percent (3.00 dollars)

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q2**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BANK.03 (local)

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A processor holds a new seller's deposits for a few days after a large sale. What is a sensible response?

**A.** Sign up for many processors at once to spread out sales
**B.** Stop recording sales
**C.** Assume the money is lost forever
**D.** Read the processor's terms and plan cash for delays

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q3**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BANK.03 (local)

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An owner pays personal bills with the business credit card to earn rewards. What is the problem?

**A.** It mixes personal and business spending
**B.** Business cards cannot earn rewards
**C.** Nothing; rewards make it fine
**D.** Rewards are illegal

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q4**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BANK.03 (local)

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Which statement is accurate?

**A.** Fees and rules differ by provider, so compare current terms.
**B.** Credit cards never charge interest on any unpaid balance.
**C.** Debit cards borrow money.
**D.** All processors charge the same.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q5**
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.03 (local)

# Set 36: Moving money between owner and business

## Outcome ENT.BANK.04: Record owner contributions and owner withdrawals separately from sales and expenses

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Owners move money in and out of a business in a few ways. An OWNER CONTRIBUTION is money the owner puts in. An OWNER'S DRAW (also called a distribution) is money the owner takes out from profits; for sole proprietors and most LLCs, a draw is not a wage and is not a business expense. A LOAN from the owner to the business should be written down with how it will be repaid. In every case, move the money by transfer and record what it is, so the books show the truth.

Money an owner puts into the business is called what?

**A.** An owner's draw from profits
**B.** A refund to a customer
**C.** A customer payment for a product
**D.** An owner contribution

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q1**
Entrepreneurship, Set 36: Moving money between owner and business · MAIN · Q1/5 · Outcome ENT.BANK.04 (local)

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Money an owner takes out from profits is called what?

**A.** A loan from a bank
**B.** An owner's draw
**C.** A business expense for supplies
**D.** A sales tax payment

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q2**
Entrepreneurship, Set 36: Moving money between owner and business · MAIN · Q2/5 · Outcome ENT.BANK.04 (local)

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For a sole proprietor, is a draw a business expense?

**A.** Only in December
**B.** Only if over 1,000 dollars
**C.** No
**D.** Yes, always

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q3**
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An owner lends the business 2,000 dollars. What should be done?

**A.** Write it down with how it will be repaid
**B.** Keep it secret from any partners
**C.** Spend it without recording anything
**D.** Call it sales income

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q4**
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What is the best way to move money between owner and business?

**A.** Paying personal bills from the business card
**B.** Untracked cash from a drawer
**C.** Guessing amounts at year end
**D.** A recorded bank transfer

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q5**
Entrepreneurship, Set 36: Moving money between owner and business · MAIN · Q5/5 · Outcome ENT.BANK.04 (local)

**Learn**
Picture a family piggy bank with a notebook next to it. When you put money in, you write "Added 50." When you take money out, you write "Took 20." If you borrow from it, you write "Borrowed 30, will repay Friday." The notebook tells the true story. Owner contributions, draws and loans are the same idea: money moves in and out, and each move is written down.

Putting money in the piggy bank is like what?

**A.** A refund paid to a customer
**B.** An owner contribution
**C.** An owner's draw
**D.** A tax bill

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q1**
Entrepreneurship, Set 36: Moving money between owner and business · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.04 (local)

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Taking money out is like what?

**A.** A business license
**B.** A contribution
**C.** A sale
**D.** An owner's draw

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q2**
Entrepreneurship, Set 36: Moving money between owner and business · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.04 (local)

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Why keep the notebook?

**A.** For decoration
**B.** To make the piggy bank heavier
**C.** It tells the true story of the money
**D.** To hide the money

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q3**
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"Borrowed 30, will repay Friday" is like what?

**A.** A loan with repayment terms
**B.** A tax
**C.** A sale
**D.** A gift to a friend or cousin

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q4**
Entrepreneurship, Set 36: Moving money between owner and business · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.04 (local)

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What happens if moves are not written down?

**A.** Nothing at all
**B.** No one knows the true balance
**C.** The money multiplies by itself
**D.** Taxes vanish

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q5**
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Ivy moves 1,000 dollars from her savings into her new LLC account to buy supplies. How should it be recorded?

**A.** As an owner contribution
**B.** As an owner's draw
**C.** As sales revenue from customers
**D.** As a supply expense

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q1**
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A sole proprietor has 5,000 dollars of profit and takes a 1,500-dollar draw. How much profit remains in the business?

**A.** 6,500 dollars
**B.** 5,000 dollars
**C.** 3,500 dollars
**D.** 1,500 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q2**
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Omar lends his business 3,000 dollars to be repaid 250 dollars a month. How many months to repay it?

**A.** 12 months
**B.** 10 months
**C.** 3 months
**D.** 25 months

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q3**
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An owner takes 200 dollars cash from the register for personal use without recording it. What is the problem?

**A.** It becomes a business expense

**B.** The books will not match the real money

**C.** It counts as sales

**D.** No problem; owners can take any cash

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q4**
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Which is NOT a business expense for a sole proprietor?

**A.** Web hosting
**B.** Shipping supplies
**C.** Business software
**D.** The owner's draw

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q5**
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An owner takes large draws while the business owes suppliers. What is the risk?

**A.** Draws reduce taxes to zero
**B.** No risk; draws create more cash
**C.** The business may not have cash to pay its bills
**D.** Suppliers stop asking the business for payment

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q1**
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.04 (local)

**Learn**
Owners move money in and out of a business in a few ways. An OWNER CONTRIBUTION is money the owner puts in. An OWNER'S DRAW (also called a distribution) is money the owner takes out from profits; for sole proprietors and most LLCs, a draw is not a wage and is not a business expense. A LOAN from the owner to the business should be written down with how it will be repaid. In every case, move the money by transfer and record what it is, so the books show the truth.

Two equal LLC partners agreed to take draws equally. One takes 2,000 dollars and the other 500 dollars. What should they do?

**A.** Delete the records
**B.** Ignore it forever
**C.** Record it and fix the imbalance as their agreement says
**D.** Have their customers vote on which partner was right

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q2**
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BANK.04 (local)

**Learn**
Owners move money in and out of a business in a few ways. An OWNER CONTRIBUTION is money the owner puts in. An OWNER'S DRAW (also called a distribution) is money the owner takes out from profits; for sole proprietors and most LLCs, a draw is not a wage and is not a business expense. A LOAN from the owner to the business should be written down with how it will be repaid. In every case, move the money by transfer and record what it is, so the books show the truth.

A corporation's owner who works in the business may be paid through payroll. Why does this differ from a sole proprietor's draw?

**A.** Corporations cannot pay owners
**B.** All owners are paid identically
**C.** Sole proprietors must always pay themselves through payroll
**D.** Business structure affects how owners are paid

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q3**
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BANK.04 (local)

**Learn**
Owners move money in and out of a business in a few ways. An OWNER CONTRIBUTION is money the owner puts in. An OWNER'S DRAW (also called a distribution) is money the owner takes out from profits; for sole proprietors and most LLCs, a draw is not a wage and is not a business expense. A LOAN from the owner to the business should be written down with how it will be repaid. In every case, move the money by transfer and record what it is, so the books show the truth.

An owner put 2,000 dollars in but did not say if it was a loan or contribution. Why does it matter?

**A.** It does not matter at all how it is labeled

**B.** Both are taxes

**C.** A loan is repaid; a contribution is not

**D.** Both are customer sales

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q4**
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BANK.04 (local)

**Learn**
Owners move money in and out of a business in a few ways. An OWNER CONTRIBUTION is money the owner puts in. An OWNER'S DRAW (also called a distribution) is money the owner takes out from profits; for sole proprietors and most LLCs, a draw is not a wage and is not a business expense. A LOAN from the owner to the business should be written down with how it will be repaid. In every case, move the money by transfer and record what it is, so the books show the truth.

Which statement is accurate?

**A.** Owners may never take money out.
**B.** Owner pay rules vary by structure, so check with a tax professional.
**C.** Every business owner must take a weekly salary through payroll.
**D.** Draws are always business expenses.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q5**
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.04 (local)

# Set 37: Reconciling transactions

## Outcome ENT.BANK.05: Match business records against the bank statement and explain differences

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

What does reconciling mean?

**A.** Opening a second account at another bank
**B.** Comparing your records with the bank statement
**C.** Paying all bills on the same day
**D.** Asking the bank for a loan

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q1**
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q1/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

Which is a common reason records and the bank differ?

**A.** A customer posted a review
**B.** The owner changed the logo colors
**C.** A bank fee that was not recorded
**D.** The website was redesigned

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q2**
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q2/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

A check was written but has not cleared. What does that mean?

**A.** The bank closed the account
**B.** The check was never written at all
**C.** The money was refunded twice
**D.** The bank has not processed it yet

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q3**
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q3/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

An unknown 89-dollar charge appears. What should the owner do?

**A.** Report it to the bank quickly
**B.** Record it as sales
**C.** Delete it from the records
**D.** Ignore it, since small charges never matter

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q4**
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q4/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

How often is reconciling commonly done?

**A.** Never
**B.** Monthly
**C.** Only when closing the business
**D.** Once every ten years

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q5**
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q5/5 · Outcome ENT.BANK.05 (local)

**Learn**
After shopping, you might compare the receipt with what is in the bag. If the receipt shows two milks but you have one, something is wrong. Reconciling is the same check for a business: your records are one list, the bank statement is the other, and you look for any item that appears on only one of them. Then you find out why.

In the shopping example, what is compared?

**A.** The receipt and the bag
**B.** Two stores
**C.** Coupons and ads
**D.** Prices and the weather

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q1**
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.05 (local)

**Learn**
After shopping, you might compare the receipt with what is in the bag. If the receipt shows two milks but you have one, something is wrong. Reconciling is the same check for a business: your records are one list, the bank statement is the other, and you look for any item that appears on only one of them. Then you find out why.

For a business, which two lists are compared?

**A.** Ads and reviews
**B.** Records and bank statement
**C.** Logo and website
**D.** Products and their colors

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q2**
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.05 (local)

**Learn**
After shopping, you might compare the receipt with what is in the bag. If the receipt shows two milks but you have one, something is wrong. Reconciling is the same check for a business: your records are one list, the bank statement is the other, and you look for any item that appears on only one of them. Then you find out why.

Two milks on the receipt but one in the bag means what?

**A.** Milk is free
**B.** The store closed
**C.** Everything is fine as it is
**D.** Something does not match

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q3**
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BANK.05 (local)

**Learn**
After shopping, you might compare the receipt with what is in the bag. If the receipt shows two milks but you have one, something is wrong. Reconciling is the same check for a business: your records are one list, the bank statement is the other, and you look for any item that appears on only one of them. Then you find out why.

After finding a mismatch, what do you do?

**A.** Buy more milk
**B.** Find out why
**C.** Ignore it
**D.** Throw away the receipt

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q4**
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.05 (local)

**Learn**
After shopping, you might compare the receipt with what is in the bag. If the receipt shows two milks but you have one, something is wrong. Reconciling is the same check for a business: your records are one list, the bank statement is the other, and you look for any item that appears on only one of them. Then you find out why.

An item only on the bank statement could be what?

**A.** A fee you did not record
**B.** A paper coupon
**C.** A logo
**D.** A review a customer posted

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q5**
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

Records show 2,450 dollars. The bank shows 2,435 dollars. The statement lists a 15-dollar monthly fee not in the records. What explains the difference?

**A.** Nothing; they match
**B.** A 150-dollar deposit error
**C.** A missing 2,435-dollar sale
**D.** The unrecorded 15-dollar fee

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q1**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

Records show 1,800 dollars. A 200-dollar check to a supplier has not cleared. What will the bank likely show?

**A.** 2,000 dollars
**B.** 200 dollars
**C.** 1,600 dollars
**D.** 1,800 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q2**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

A deposit of 350 dollars was recorded as 530 dollars. What is the difference?

**A.** 530 dollars
**B.** 180 dollars
**C.** 880 dollars
**D.** 350 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q3**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

The statement shows two identical 45-dollar charges from one supplier on the same day. The owner made one purchase. What should she do?

**A.** Contact the supplier or bank about a possible duplicate

**B.** Record both as normal

**C.** Close the business

**D.** Delete both charges from her records and move on

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q4**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

Which habit makes reconciling easier?

**A.** Keeping no receipts
**B.** Mixing in personal purchases now and then
**C.** Recording only at year end
**D.** Recording transactions as they happen

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q5**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BANK.05 (local)

**Learn**
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An owner has not reconciled for 8 months and finds an unknown charge from 7 months ago. What is the problem?

**A.** Waiting long can make disputes and recovery harder
**B.** The bank fixes any old charge automatically
**C.** No problem; any timing is fine
**D.** Old charges always disappear

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q1**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

A small recurring 9.99-dollar charge appears for software the owner cancelled. What should she do?

**A.** Record it as revenue
**B.** Ignore it; it is small
**C.** Hide it from her accountant to keep the books simple
**D.** Cancel properly and dispute charges after cancellation

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q2**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

The 9.99-dollar charge has continued for 12 months. How much has it cost?

**A.** 99.90 dollars
**B.** 119.88 dollars
**C.** 129.87 dollars
**D.** 9.99 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q3**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

Records and bank match exactly, but the owner forgot to record a customer refund paid in cash. What is true?

**A.** Cash never needs recording
**B.** All money is always perfect
**C.** Matching the bank does not catch cash moves outside the account
**D.** The bank automatically records the cash kept in her drawer

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q4**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BANK.05 (local)

**Learn**
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

Which statement is accurate?

**A.** Reconciling is only needed by large companies with many staff.
**B.** Reconciling regularly catches errors and fraud sooner.
**C.** Reconciling replaces keeping receipts.
**D.** Banks never make mistakes.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q5**
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.05 (local)

# Set 38: Three kinds of business address

## Outcome ENT.MAIL.01: Tell a mailing address, a physical business address and a registered-agent address apart

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
A business can have different addresses for different jobs. The REGISTERED AGENT ADDRESS is where official legal papers are delivered; states usually require a physical street address in the state. The MAILING ADDRESS is where ordinary letters and bills go; it may be a PO Box in many cases. The PHYSICAL (or principal) ADDRESS is where the business actually operates. Some addresses appear in public state records, so a home-based owner may prefer not to use her home for every one. Each state sets its own rules; Washington, for example, does not allow a PO Box as the registered agent address.

Which address receives official legal papers?

**A.** The mailing address used for catalogs and bills
**B.** The address of the owner's favorite supplier
**C.** The address printed on the shipping boxes
**D.** The registered agent address

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q1**
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q1/5 · Outcome ENT.MAIL.01 (local)

**Learn**
A business can have different addresses for different jobs. The REGISTERED AGENT ADDRESS is where official legal papers are delivered; states usually require a physical street address in the state. The MAILING ADDRESS is where ordinary letters and bills go; it may be a PO Box in many cases. The PHYSICAL (or principal) ADDRESS is where the business actually operates. Some addresses appear in public state records, so a home-based owner may prefer not to use her home for every one. Each state sets its own rules; Washington, for example, does not allow a PO Box as the registered agent address.

Where does the business actually operate?

**A.** Its website's domain name registrar
**B.** Its physical address
**C.** Its bank's main headquarters building
**D.** Its registered agent's office in every case

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q2**
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q2/5 · Outcome ENT.MAIL.01 (local)

**Learn**
A business can have different addresses for different jobs. The REGISTERED AGENT ADDRESS is where official legal papers are delivered; states usually require a physical street address in the state. The MAILING ADDRESS is where ordinary letters and bills go; it may be a PO Box in many cases. The PHYSICAL (or principal) ADDRESS is where the business actually operates. Some addresses appear in public state records, so a home-based owner may prefer not to use her home for every one. Each state sets its own rules; Washington, for example, does not allow a PO Box as the registered agent address.

Which address can often be a PO Box?

**A.** The physical place where customers visit
**B.** The kitchen where food is prepared
**C.** The mailing address
**D.** The registered agent address in Washington

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q3**
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q3/5 · Outcome ENT.MAIL.01 (local)

**Learn**
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Why might a home-based owner avoid listing her home on every form?

**A.** Some addresses appear in public records
**B.** Home addresses are banned for every business
**C.** Using a home address doubles the tax owed
**D.** Mail cannot be delivered to houses at all

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q4**
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q4/5 · Outcome ENT.MAIL.01 (local)

**Learn**
A business can have different addresses for different jobs. The REGISTERED AGENT ADDRESS is where official legal papers are delivered; states usually require a physical street address in the state. The MAILING ADDRESS is where ordinary letters and bills go; it may be a PO Box in many cases. The PHYSICAL (or principal) ADDRESS is where the business actually operates. Some addresses appear in public state records, so a home-based owner may prefer not to use her home for every one. Each state sets its own rules; Washington, for example, does not allow a PO Box as the registered agent address.

Who sets the rules for registered agent addresses?

**A.** The owner's neighbors on the same street
**B.** Each state
**C.** Each customer who buys from the business
**D.** The business's favorite delivery company

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q5**
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q5/5 · Outcome ENT.MAIL.01 (local)

**Learn**
Think of a house with different doors: the front door where guests ring the bell, a mail slot where letters drop, and the rooms inside where the family actually lives. A business also has different "doors": an official door for legal papers (the registered agent address), a slot for everyday mail (the mailing address), and the rooms where the work happens (the physical address). Sometimes all three are the same place; sometimes they are not.

The slot where letters drop matches which address?

**A.** The website address for online visitors
**B.** The registered agent address for papers
**C.** The physical address of the workshop
**D.** The mailing address

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q1**
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.01 (local)

**Learn**
Think of a house with different doors: the front door where guests ring the bell, a mail slot where letters drop, and the rooms inside where the family actually lives. A business also has different "doors": an official door for legal papers (the registered agent address), a slot for everyday mail (the mailing address), and the rooms where the work happens (the physical address). Sometimes all three are the same place; sometimes they are not.

The rooms where the family lives match which address?

**A.** The physical address
**B.** The bank's branch address downtown
**C.** The mailing address on envelopes
**D.** The registered agent address only

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q2**
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.01 (local)

**Learn**
Think of a house with different doors: the front door where guests ring the bell, a mail slot where letters drop, and the rooms inside where the family actually lives. A business also has different "doors": an official door for legal papers (the registered agent address), a slot for everyday mail (the mailing address), and the rooms where the work happens (the physical address). Sometimes all three are the same place; sometimes they are not.

The official door for legal papers matches which address?

**A.** The email address for customers
**B.** The physical address of a warehouse
**C.** The registered agent address
**D.** The mailing address for catalogs

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q3**
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.01 (local)

**Learn**
Think of a house with different doors: the front door where guests ring the bell, a mail slot where letters drop, and the rooms inside where the family actually lives. A business also has different "doors": an official door for legal papers (the registered agent address), a slot for everyday mail (the mailing address), and the rooms where the work happens (the physical address). Sometimes all three are the same place; sometimes they are not.

Can all three addresses be the same place?

**A.** Only if the business has no customers
**B.** No, never under any state law
**C.** Only for companies with 500 workers
**D.** Yes, sometimes

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q4**
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.01 (local)

**Learn**
Think of a house with different doors: the front door where guests ring the bell, a mail slot where letters drop, and the rooms inside where the family actually lives. A business also has different "doors": an official door for legal papers (the registered agent address), a slot for everyday mail (the mailing address), and the rooms where the work happens (the physical address). Sometimes all three are the same place; sometimes they are not.

How many kinds of address does the picture show?

**A.** Three
**B.** Two, mail and email
**C.** Ten, one for each room in the house
**D.** One, because a business has only one address

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q5**
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.01 (local)

**Learn**
A business can have different addresses for different jobs. The REGISTERED AGENT ADDRESS is where official legal papers are delivered; states usually require a physical street address in the state. The MAILING ADDRESS is where ordinary letters and bills go; it may be a PO Box in many cases. The PHYSICAL (or principal) ADDRESS is where the business actually operates. Some addresses appear in public state records, so a home-based owner may prefer not to use her home for every one. Each state sets its own rules; Washington, for example, does not allow a PO Box as the registered agent address.

Ruth runs an online shop from her apartment in Washington and wants privacy. Which plan fits her state's rule?

**A.** Her PO Box as the registered agent address, and her home for mail
**B.** No address on any form at all
**C.** A made-up street address on every form
**D.** A registered agent service for legal papers, and a PO Box for mail

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q1**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.01 (local)

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A bakery has a storefront where customers buy bread. What is its physical address?

**A.** The flour supplier's warehouse address
**B.** The storefront's street address
**C.** The owner's PO Box at the post office
**D.** The registered agent service's office

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q2**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MAIL.01 (local)

**Learn**
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Which address should a supplier use to send a monthly bill?

**A.** The mailing address
**B.** A customer's home address
**C.** The registered agent address for lawsuits
**D.** The state filing office address

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q3**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MAIL.01 (local)

**Learn**
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A registered agent service costs 125 dollars a year and a PO Box costs 90 dollars a year. What is the yearly total for both?

**A.** 90 dollars, the PO Box alone

**B.** 215 dollars

**C.** 125 dollars, the agent service alone

**D.** 35 dollars, the difference

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q4**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MAIL.01 (local)

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Kai lists his home as all three addresses. What is one tradeoff?

**A.** His home address may appear in public records
**B.** His taxes are automatically doubled
**C.** He can never receive any packages
**D.** His LLC automatically becomes invalid in the state

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q5**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.01 (local)

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An owner moves her business to a new building. Which records may need updating?

**A.** Only the logo on her social media page
**B.** Nothing, because addresses update themselves
**C.** State filings, bank, licenses and mailing lists
**D.** Only her personal library card

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q1**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.01 (local)

**Learn**
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A friend in another state says PO Boxes are fine for registered agents everywhere. What should the owner do?

**A.** Follow the friend because all states match
**B.** Skip naming a registered agent
**C.** Use a PO Box and hope the state accepts it
**D.** Check her own state's official rules

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q2**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.01 (local)

**Learn**
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A registered agent service forwards legal papers by email. What should the owner do when one arrives?

**A.** Ignore it until year end
**B.** Delete it if the subject line looks boring or routine
**C.** Forward it to customers
**D.** Read it promptly, because legal papers can have deadlines

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q3**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MAIL.01 (local)

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Which statement about public records is accurate?

**A.** Some business addresses are visible to the public.
**B.** Every business address is always kept secret.
**C.** Only email addresses are public.
**D.** Public records never include addresses.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q4**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.01 (local)

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Which source should confirm address rules for a filing?

**A.** A post on a neighborhood message board
**B.** The state's official filing office or website
**C.** A shipping company's ad
**D.** A guess based on another state's rule

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q5**
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.01 (local)

# Set 39: PO Boxes, private mailboxes and street addressing

## Outcome ENT.MAIL.02: Compare a PO Box, a private mailbox and the PO Box street-addressing option

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
A PO BOX is a locked mailbox rented at a Post Office. Some carriers (like private package companies) need a street address. At participating Post Offices, the "Street Addressing" option lets a box holder use the Post Office's street address with the box number, so those carriers can deliver; availability varies and the customer signs an agreement. A PRIVATE MAILBOX is rented from a private store called a Commercial Mail Receiving Agency (CMRA). To receive mail there, the customer completes USPS Form 1583 with identity documents; requirements have changed over time, so check the current form.

Where is a PO Box rented?

**A.** At a Post Office
**B.** At the state business filing office
**C.** At any coffee shop that sells stamps
**D.** At a bank branch near the business

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q1**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · MAIN · Q1/5 · Outcome ENT.MAIL.02 (local)

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What does the Street Addressing option allow?

**A.** Skipping the box rental fee for a year
**B.** Receiving legal papers in every state
**C.** Using the Post Office's street address with the box number
**D.** Using any home address on the street as if it were the box

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q2**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · MAIN · Q2/5 · Outcome ENT.MAIL.02 (local)

**Learn**
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What is a CMRA?

**A.** A private business that receives mail for customers
**B.** A government agency that issues tax ID numbers to businesses
**C.** A state rule for registered agents
**D.** A type of business bank account

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q3**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · MAIN · Q3/5 · Outcome ENT.MAIL.02 (local)

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Which form is used so a CMRA can receive mail for a customer?

**A.** A state DBA certificate
**B.** USPS Form 1583
**C.** A city business license form
**D.** IRS Form SS-4 for an EIN

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q4**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · MAIN · Q4/5 · Outcome ENT.MAIL.02 (local)

**Learn**
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Is Street Addressing offered at every Post Office?

**A.** No; availability varies
**B.** Only at locations in large cities
**C.** Only for customers with no business
**D.** Yes, at every single location

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q5**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · MAIN · Q5/5 · Outcome ENT.MAIL.02 (local)

**Learn**
Think of renting a locker at a gym. A PO Box is like a locker at the post office: you get a key and your mail waits there. A private mailbox is like a locker at a private shop that holds mail for you, and you sign a form so the shop may accept your mail. Some delivery companies only drop off at a street address, so some post offices let you write their street address plus your locker number.

A PO Box is like a locker where?

**A.** At your house
**B.** At the post office
**C.** At the bank
**D.** At a private shop

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q1**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.02 (local)

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A private mailbox is like a locker where?

**A.** At the state office
**B.** At the post office
**C.** At a school
**D.** At a private shop

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q2**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.02 (local)

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Why sign a form at the private shop?

**A.** To open a bank account at the shop
**B.** To get a discount
**C.** To change your name
**D.** So the shop may accept your mail

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q3**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.02 (local)

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Why do some post offices offer a street address?

**A.** To lower taxes
**B.** Some carriers deliver only to street addresses
**C.** To make the lockers bigger for packages
**D.** To replace the key

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q4**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.02 (local)

**Learn**
Think of renting a locker at a gym. A PO Box is like a locker at the post office: you get a key and your mail waits there. A private mailbox is like a locker at a private shop that holds mail for you, and you sign a form so the shop may accept your mail. Some delivery companies only drop off at a street address, so some post offices let you write their street address plus your locker number.

What do you add to the post office's street address?

**A.** Your birthday
**B.** Your phone number
**C.** Your box number
**D.** Your logo

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q5**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.02 (local)

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Ana ships products and her suppliers use private package carriers that need a street address. She rents a PO Box. What should she ask her Post Office?

**A.** Whether it is open on holidays
**B.** Whether it can file her taxes
**C.** Whether it offers the Street Addressing option
**D.** Whether it sells padded envelopes in bulk at a discount

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q1**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.02 (local)

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Ben rents a box at a private mail store. What must he complete so the store may receive his mail?

**A.** A business license renewal
**B.** A trademark application
**C.** An IRS application for a new EIN number
**D.** USPS Form 1583 with identity documents

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q2**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MAIL.02 (local)

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A PO Box costs 40 dollars for 3 months. What is the cost for 12 months at the same rate?

**A.** 160 dollars
**B.** 40 dollars, the same as 3 months
**C.** 120 dollars, three times the fee
**D.** 480 dollars, twelve times the fee

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q3**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MAIL.02 (local)

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A private mailbox costs 25 dollars a month; a PO Box costs 160 dollars a year. How much more does the private mailbox cost per year?

**A.** 160 dollars, the PO Box alone
**B.** 140 dollars
**C.** 135 dollars, a small miscalculation
**D.** 300 dollars, the private box alone

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q4**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MAIL.02 (local)

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Which option is run by a private business?

**A.** PO Box Street Addressing
**B.** Home mail delivery by the Postal Service
**C.** A PO Box at the Post Office
**D.** A private mailbox at a CMRA

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q5**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.02 (local)

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An online article from several years ago explains Form 1583 steps. What is the concern?

**A.** Requirements have changed, so check the current form
**B.** Online articles are always newer than the official forms
**C.** Nothing; postal forms never change
**D.** The form no longer exists for anyone

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q1**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.02 (local)

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An owner wants to use her private mailbox as her registered agent address in Washington. What is the issue?

**A.** It must be a PO Box instead
**B.** Private mailboxes cannot receive any mail or packages at all
**C.** No issue; any box works in every state
**D.** Washington does not allow private or virtual mailboxes for it

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q2**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.02 (local)

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A box holder using Street Addressing gives a package carrier the address. What must be included?

**A.** Her home address instead
**B.** The box number with the Post Office street address
**C.** The Post Office's phone number
**D.** Only the Post Office street address with no box number

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q3**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MAIL.02 (local)

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A mail store closes suddenly. What should an owner using it do first?

**A.** Do nothing; mail forwards itself forever
**B.** Close the business entirely
**C.** Update her mailing address with banks, customers and agencies
**D.** Wait a few months to see if her mail still arrives somewhere

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q4**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.02 (local)

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Which statement is accurate?

**A.** PO Boxes are free.
**B.** Availability and rules vary, so confirm with the Post Office or provider.
**C.** Every Post Office offers every service at the same price nationwide.
**D.** Private mailboxes need no paperwork.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q5**
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.02 (local)

# Set 40: Which address each organization accepts

## Outcome ENT.MAIL.03: Check which address a bank, state, platform or carrier will accept instead of assuming they are interchangeable

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Different organizations accept different addresses. The STATE often requires a physical in-state street address for the registered agent; Washington, for example, does not accept PO Boxes or private mailboxes there, though a PO Box may be listed as a separate mailing address. Some PACKAGE CARRIERS cannot deliver to a plain PO Box; Street Addressing at participating Post Offices can help. BANKS and some licensing offices may ask for a physical address. Before filing any form, read what kind of address it asks for.

In Washington, what can be listed separately as a mailing address?

**A.** A made-up address that sounds official
**B.** A PO Box
**C.** Nothing other than the agent's address
**D.** The address of another state's office

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q1**
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q1/5 · Outcome ENT.MAIL.03 (local)

**Learn**
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Why might a package carrier fail to deliver to a plain PO Box?

**A.** Some carriers need a street address
**B.** Package carriers deliver only to banks
**C.** PO Boxes are only for postcards and nothing else
**D.** Packages are not allowed for businesses

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q2**
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q2/5 · Outcome ENT.MAIL.03 (local)

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What should an owner do before filling in an address on a form?

**A.** Copy an address from a competitor's form
**B.** Use whichever address is shortest to write
**C.** Read what kind of address the form asks for
**D.** Leave the address line blank to stay private

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q3**
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q3/5 · Outcome ENT.MAIL.03 (local)

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Which organization may require a physical address when opening an account?

**A.** A supplier of packing tape
**B.** A social media follower
**C.** A customer buying one product online
**D.** A bank

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q4**
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q4/5 · Outcome ENT.MAIL.03 (local)

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Which address does a state usually require for the registered agent?

**A.** A PO Box in any state
**B.** A physical in-state street address
**C.** A phone number with voicemail
**D.** Any email address the owner checks

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q5**
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q5/5 · Outcome ENT.MAIL.03 (local)

**Learn**
Imagine a school. The office accepts official letters, the loading dock accepts big deliveries, and the classroom accepts homework. Sending a truck to the classroom does not work. Organizations are similar: the state wants a real street address for legal papers, some carriers need a street address for packages, and ordinary letters can go to a PO Box.

Where do big deliveries go at the school?

**A.** The classroom
**B.** The parking lot
**C.** The office mail tray
**D.** The loading dock

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q1**
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.03 (local)

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Ordinary letters for a business can often go where?

**A.** A loading dock only
**B.** Nowhere
**C.** A PO Box
**D.** Only a registered agent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q2**
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.03 (local)

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Legal papers usually need what kind of address?

**A.** A real street address
**B.** An email only
**C.** A phone number with voicemail
**D.** Any PO Box

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q3**
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.03 (local)

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Some packages need what kind of address?

**A.** A PO Box only
**B.** A street address
**C.** A website
**D.** A phone number

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q4**
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.03 (local)

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Sending a truck to a classroom is like what mistake?

**A.** Using a pen
**B.** Paying a bill
**C.** Writing a short letter to a friend
**D.** Using the wrong address type

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q5**
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.03 (local)

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Tom's Washington LLC form asks for the registered agent address and a mailing address. He has a PO Box and an agent service. What fits?

**A.** Agent service for mailing and PO Box for the agent

**B.** Leave both lines blank

**C.** Agent service address for the agent; PO Box for mailing

**D.** PO Box for both lines

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q1**
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.03 (local)

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A supplier ships by a private carrier that cannot deliver to plain PO Boxes. The owner's Post Office offers Street Addressing. What should she give the supplier?

**A.** The Post Office street address with her box number

**B.** A neighbor's street address, without asking first

**C.** Her plain PO Box number only

**D.** The registered agent's address

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q2**
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MAIL.03 (local)

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Of 5 forms, 2 require a physical street address and the rest accept a PO Box. How many accept a PO Box?

**A.** 7, the two numbers added

**B.** 2, the forms needing a street address

**C.** 5, every one of the forms

**D.** 3

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A bank form asks for the business's physical address. The owner works from home. What should she write?

**A.** The bank's own address

**B.** Her PO Box number, labeled on the form as her physical address

**C.** A fake address for privacy

**D.** Her actual home address, if that is where the business operates

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q4**
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MAIL.03 (local)

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Which address type is most often accepted for ordinary bills and letters?

**A.** Only the registered agent address
**B.** Only a storefront address
**C.** A mailing address such as a PO Box
**D.** Only an overseas address

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q5**
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.03 (local)

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A state rejected a filing because the agent address was a private mailbox. What should the owner do?

**A.** Use a PO Box instead of the private mailbox and refile
**B.** Name an agent with a physical in-state address and refile
**C.** Give up on forming the LLC
**D.** File the same form again unchanged

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q1**
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.03 (local)

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A licensing office asks for a physical address but the owner has only a PO Box. What should she do?

**A.** Write the PO Box anyway and call it her physical address

**B.** Use a random street address

**C.** Ask the office what address it accepts for her situation

**D.** Skip the license

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q2**
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.03 (local)

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Which mistake is most likely to cause missed legal papers?

**A.** Using a business email for customers
**B.** Listing a PO Box as the ordinary mailing address
**C.** Listing an address where no one receives documents
**D.** Printing the address on invoices

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q3**
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An owner used three different addresses on her forms. Is that wrong?

**A.** Yes, it is always illegal
**B.** Yes, the bank will close her account
**C.** Yes, businesses may only have one address
**D.** Not necessarily, if each fits the form's request

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Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.03 (local)

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Which statement is accurate?

**A.** Only email addresses matter today.
**B.** Address rules depend on the organization and state, so read each form.
**C.** Every organization accepts a PO Box for every kind of address.
**D.** No organization accepts PO Boxes.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q5**
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.03 (local)

# Set 41: Mailbox practicalities

## Outcome ENT.MAIL.04: Plan pickup access, forwarding or scanning, renewals and important notices for a business mailbox

Module: Foundation 6: Addresses and contact details

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**Learn**
Practical choices matter once you have a mailbox. PO Boxes come in sizes and are rented for set periods, such as 3, 6 or 12 months; fees vary by location and size. Plan how often you will check it: important letters, such as tax notices or bills, can have deadlines. Decide who may pick up mail, keep keys safe, and ask how large packages are handled. When moving, update your address with banks, customers and agencies; forwarding may help for a while but does not replace updating records. Renew before the rental period ends.

Why plan how often to check a business mailbox?

**A.** Boxes must be emptied every hour by law
**B.** Checking often lowers the rental fee
**C.** Important letters can have deadlines
**D.** Mail disappears after exactly one day

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q1**
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q1/5 · Outcome ENT.MAIL.04 (local)

**Learn**
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What may happen if a box rental is not renewed?

**A.** The box can be closed and mail disrupted
**B.** The Post Office files the owner's taxes
**C.** The box becomes free for life
**D.** Mail is automatically sent to customers

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q2**
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q2/5 · Outcome ENT.MAIL.04 (local)

**Learn**
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When moving, what should the owner do besides forwarding mail?

**A.** Cancel the business bank account
**B.** Update the address with banks, customers and agencies
**C.** Only change the logo on her website
**D.** Nothing, because forwarding fixes everything forever

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q3**
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What do PO Box fees depend on?

**A.** How many products the business sells
**B.** The business's logo colors
**C.** The owner's age and height
**D.** Location and box size

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q4**
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q4/5 · Outcome ENT.MAIL.04 (local)

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Which is a good practice for mailbox keys?

**A.** Give keys to any customer who asks
**B.** Keep them safe and decide who may use them
**C.** Never decide who picks up mail
**D.** Tape a spare key to the outside of the box

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q5**
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q5/5 · Outcome ENT.MAIL.04 (local)

**Learn**
Renting a mailbox is like renting a small storage unit. You pick a size, pay for a set period, keep the key safe, and check on it regularly. If you forget to pay, the unit can be closed. If you move your things, you tell people your new location. A business mailbox works the same way, with letters and packages instead of boxes of belongings.

Choosing a mailbox size is like what?

**A.** Choosing a storage unit size
**B.** Choosing a movie to watch
**C.** Choosing a meal
**D.** Choosing a song

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q1**
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.04 (local)

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What happens if you forget to pay for the unit?

**A.** Nothing at all
**B.** It becomes free
**C.** It gets bigger
**D.** It can be closed

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q2**
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.04 (local)

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Why check the unit regularly?

**A.** To make it heavier
**B.** To lower taxes
**C.** To find important items in time
**D.** To change the color of its door

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q3**
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.04 (local)

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What should you do with the key?

**A.** Leave it in the lock
**B.** Keep it safe
**C.** Share it with strangers
**D.** Lose it

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q4**
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.04 (local)

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If you move, what do you tell people?

**A.** A fake location
**B.** Your old location
**C.** Your new location
**D.** Nothing

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A small box costs 60 dollars for 6 months and a medium box costs 95 dollars for 6 months. How much more does the medium box cost per year?

**A.** 70 dollars

**B.** 190 dollars, the medium box per year

**C.** 120 dollars, the small box per year

**D.** 35 dollars, the 6-month difference

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F1-Q1**
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Mia receives tax notices that give 30 days to respond. She checks her box once a month. What is a better plan?

**A.** Check once a year
**B.** Check only when she remembers
**C.** Never check; notices arrive by email
**D.** Check at least weekly

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F1-Q2**
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A box was rented on March 1 for 6 months. When does it need renewal?

**A.** By September 1
**B.** By March 1 next year
**C.** Never; rentals last forever
**D.** By April 1, one month later

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An owner's employee picks up mail. What should the owner set up?

**A.** No rules about who collects mail
**B.** A key hidden under the doormat
**C.** A sign on the wall that lists the box's lock combination
**D.** Clear permission and a key for that employee only

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Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MAIL.04 (local)

**Learn**
Practical choices matter once you have a mailbox. PO Boxes come in sizes and are rented for set periods, such as 3, 6 or 12 months; fees vary by location and size. Plan how often you will check it: important letters, such as tax notices or bills, can have deadlines. Decide who may pick up mail, keep keys safe, and ask how large packages are handled. When moving, update your address with banks, customers and agencies; forwarding may help for a while but does not replace updating records. Renew before the rental period ends.

A business moved and set up mail forwarding. Six months later some mail still goes to the old address. What is the fix?

**A.** Ignore the misdirected mail
**B.** Update the address directly with those senders
**C.** Rely on forwarding forever
**D.** Move the business back to the old address

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F1-Q5**
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.04 (local)

**Learn**
Practical choices matter once you have a mailbox. PO Boxes come in sizes and are rented for set periods, such as 3, 6 or 12 months; fees vary by location and size. Plan how often you will check it: important letters, such as tax notices or bills, can have deadlines. Decide who may pick up mail, keep keys safe, and ask how large packages are handled. When moving, update your address with banks, customers and agencies; forwarding may help for a while but does not replace updating records. Renew before the rental period ends.

A package is too large for the box. What should the owner ask the Post Office?

**A.** Whether packages are banned for businesses
**B.** Whether it can deliver to her neighbor without asking
**C.** How it handles packages that do not fit
**D.** Whether she must rent ten boxes

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q1**
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.04 (local)

**Learn**
Practical choices matter once you have a mailbox. PO Boxes come in sizes and are rented for set periods, such as 3, 6 or 12 months; fees vary by location and size. Plan how often you will check it: important letters, such as tax notices or bills, can have deadlines. Decide who may pick up mail, keep keys safe, and ask how large packages are handled. When moving, update your address with banks, customers and agencies; forwarding may help for a while but does not replace updating records. Renew before the rental period ends.

An owner travels for three weeks. What is a sensible plan for her business mail?

**A.** Let mail pile up and hope nothing is urgent
**B.** Ask customers to stop writing
**C.** Close the box for the trip
**D.** Arrange for a trusted person or a hold service

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q2**
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.04 (local)

**Learn**
Practical choices matter once you have a mailbox. PO Boxes come in sizes and are rented for set periods, such as 3, 6 or 12 months; fees vary by location and size. Plan how often you will check it: important letters, such as tax notices or bills, can have deadlines. Decide who may pick up mail, keep keys safe, and ask how large packages are handled. When moving, update your address with banks, customers and agencies; forwarding may help for a while but does not replace updating records. Renew before the rental period ends.

A late fee notice arrived in the box two weeks ago, but she checked late. What lesson fits?

**A.** Mailboxes cause late fees
**B.** Bills never matter
**C.** Late fees are always forgiven if you ask
**D.** Regular checks prevent missed deadlines

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q3**
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MAIL.04 (local)

**Learn**
Practical choices matter once you have a mailbox. PO Boxes come in sizes and are rented for set periods, such as 3, 6 or 12 months; fees vary by location and size. Plan how often you will check it: important letters, such as tax notices or bills, can have deadlines. Decide who may pick up mail, keep keys safe, and ask how large packages are handled. When moving, update your address with banks, customers and agencies; forwarding may help for a while but does not replace updating records. Renew before the rental period ends.

Box rent rises from 120 to 150 dollars a year. What is the percent increase?

**A.** 150 percent, the new price
**B.** 20 percent, based on the new price
**C.** 25 percent
**D.** 30 percent, the dollar change

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q4**
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.04 (local)

**Learn**
Practical choices matter once you have a mailbox. PO Boxes come in sizes and are rented for set periods, such as 3, 6 or 12 months; fees vary by location and size. Plan how often you will check it: important letters, such as tax notices or bills, can have deadlines. Decide who may pick up mail, keep keys safe, and ask how large packages are handled. When moving, update your address with banks, customers and agencies; forwarding may help for a while but does not replace updating records. Renew before the rental period ends.

Which statement is accurate?

**A.** Forwarding replaces updating records.
**B.** Every Post Office charges the same price for every box size.
**C.** Fees and services vary by location, so ask the specific Post Office.
**D.** Boxes never need renewal.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q5**
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.04 (local)

# Set 42: Business email, phone and voicemail

## Outcome ENT.MAIL.05: Separate business contact channels from personal ones and keep them reachable

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**

Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

Which email address looks most established for a business called Lime Tree Pets?

**A.** xyz123@freemail.example

**B.** hello@limetreepets.example

**C.** catsrule99@freemail.example

**D.** limetreefan2003@freemail.example

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q1**

Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q1/5 · Outcome ENT.MAIL.05 (local)

**Learn**
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Why use a separate business phone number?

**A.** It separates business calls and protects privacy
**B.** It doubles the number of customers each month
**C.** It is required for every business by federal law
**D.** It removes the need for any email

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q2**
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q2/5 · Outcome ENT.MAIL.05 (local)

**Learn**
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

What should a business voicemail greeting include?

**A.** Nothing; silence is professional
**B.** A long story about the founder
**C.** The business name and when to expect a reply
**D.** The owner's home address and birthday

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q3**
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q3/5 · Outcome ENT.MAIL.05 (local)

**Learn**
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

A greeting promises a reply within one business day. What builds trust?

**A.** Replying whenever convenient, even a week later
**B.** Deleting messages from unknown numbers
**C.** Changing the promise every week
**D.** Actually replying within one business day

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q4**
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q4/5 · Outcome ENT.MAIL.05 (local)

**Learn**
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

What is a web domain?

**A.** The business's own website name, like yourshop.example
**B.** A type of business bank account
**C.** A shipping label format
**D.** A state filing that registers the business's legal name

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q5**
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q5/5 · Outcome ENT.MAIL.05 (local)

**Learn**
A clean shop window and a bell that works tell customers someone is ready to help. Email, phone and voicemail are a modern shop's window and bell. A business email on the shop's own web name looks tidy; a separate phone keeps business calls from mixing with family calls; and a voicemail greeting says who you are and when you will call back.

A business email on its own web name is like what?

**A.** A broken shop bell
**B.** A dark sign
**C.** A clean shop window
**D.** A locked door

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q1**
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.05 (local)

**Learn**
A clean shop window and a bell that works tell customers someone is ready to help. Email, phone and voicemail are a modern shop's window and bell. A business email on the shop's own web name looks tidy; a separate phone keeps business calls from mixing with family calls; and a voicemail greeting says who you are and when you will call back.

Why keep a separate business phone?

**A.** To avoid hearing from any customers at all
**B.** To keep business calls apart from family calls
**C.** To raise prices
**D.** To get more ads

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q2**
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.05 (local)

**Learn**
A clean shop window and a bell that works tell customers someone is ready to help. Email, phone and voicemail are a modern shop's window and bell. A business email on the shop's own web name looks tidy; a separate phone keeps business calls from mixing with family calls; and a voicemail greeting says who you are and when you will call back.

A voicemail greeting should say what?

**A.** A joke only
**B.** Your bank PIN and online password
**C.** Who you are and when you will call back
**D.** Nothing

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q3**
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.05 (local)

**Learn**
A clean shop window and a bell that works tell customers someone is ready to help. Email, phone and voicemail are a modern shop's window and bell. A business email on the shop's own web name looks tidy; a separate phone keeps business calls from mixing with family calls; and a voicemail greeting says who you are and when you will call back.

A bell that works tells customers what?

**A.** Someone is ready to help
**B.** The owner left
**C.** The shop is closed for good
**D.** Prices went up

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q4**
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.05 (local)

**Learn**
A clean shop window and a bell that works tell customers someone is ready to help. Email, phone and voicemail are a modern shop's window and bell. A business email on the shop's own web name looks tidy; a separate phone keeps business calls from mixing with family calls; and a voicemail greeting says who you are and when you will call back.

Email, phone and voicemail are like what for a modern shop?

**A.** Its back parking lot
**B.** Its basement
**C.** Its roof
**D.** Its window and bell

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q5**
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.05 (local)

**Learn**
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

Rita's flyers list "rita.party.girl@freemail.example." She owns ritasbakes.example. What is the best change?

**A.** Remove all contact details from the flyer

**B.** Use an address like orders@ritasbakes.example

**C.** Keep the personal address on every flyer

**D.** List her home address instead of email

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q1**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.05 (local)

**Learn**
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Leo answers business calls on his personal phone at family dinners. What helps most?

**A.** Answering every call at any hour
**B.** Never answering business calls
**C.** A separate business number with set hours
**D.** Giving customers his family's numbers

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q2**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MAIL.05 (local)

**Learn**
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

A business gets 40 voicemails a month and promises a same-day reply. It replies same day to 34. What percent met the promise?

**A.** 85 percent

**B.** 15 percent, the ones missed

**C.** 34 percent, the count itself

**D.** 6 percent, the number missed

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q3**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MAIL.05 (local)

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Which voicemail greeting is best?

**A.** "You've reached Pine Cleaners. We reply within one business day."
**B.** "Call my cousin instead at home."
**C.** "Hey, it's me. Leave something after the beep, maybe I'll call."
**D.** "This number is unavailable forever."

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q4**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MAIL.05 (local)

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A customer emails on Saturday; the business replies Monday as its auto-reply promised. Was the promise kept?

**A.** No, weekends are banned for email
**B.** Only if the reply was very long
**C.** Yes, it matched what was promised
**D.** No, every email needs a reply in minutes

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q5**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.05 (local)

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Customers call at midnight. What is a reasonable boundary?

**A.** Answer every midnight call to keep them happy
**B.** State business hours in the greeting and reply then
**C.** Give out a personal number for night calls
**D.** Block all customer numbers

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q1**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.05 (local)

**Learn**
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

An email claims to be from the owner's bank and asks for her password. What should she do?

**A.** Click the email link and log in to check
**B.** Contact the bank through its official number
**C.** Reply with the password quickly
**D.** Forward it to customers

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q2**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.05 (local)

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The owner's inbox gets 200 messages a week and replies are slipping. Which step helps most?

**A.** Stop listing any email address
**B.** Delete every message unread
**C.** Use folders or templates for common questions
**D.** Promise faster replies she cannot meet

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q3**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MAIL.05 (local)

**Learn**
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

A greeting promises a reply in one hour, but the owner is often away for half a day. What should change?

**A.** Promise a time she can actually meet

**B.** Keep the promise and miss it often

**C.** Remove the voicemail entirely

**D.** Never check messages

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q4**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.05 (local)

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Which statement is accurate?

**A.** Clear, realistic response promises build more trust than fast but broken ones.

**B.** Free email addresses are illegal for any business to use for customer messages.

**C.** A business must answer every call at any hour.

**D.** Customers never care about replies.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q5**
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.05 (local)

# Set 43: One-time and recurring costs

## Outcome ENT.COST.01: Classify costs as one-time or recurring

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Which is a one-time cost?

**A.** Renewing the business license every year
**B.** Buying a used oven to start a bakery
**C.** Paying for a website hosting plan each month
**D.** Paying the monthly rent for the bakery space

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q1**
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q1/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Which is a recurring cost?

**A.** A software subscription paid monthly
**B.** A sewing machine bought on opening day
**C.** A single state filing fee to form the LLC
**D.** A logo designed once by a freelancer

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q2**
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q2/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

A phone plan costs 30 dollars a month. What is the yearly cost?

**A.** 390 dollars
**B.** 300 dollars
**C.** 360 dollars
**D.** 30 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q3**
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q3/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Insurance costs 600 dollars a year. What is that per month?

**A.** 60 dollars
**B.** 600 dollars
**C.** 7,200 dollars
**D.** 50 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q4**
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q4/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Why convert recurring costs to the same period?

**A.** To make every cost look smaller than it is
**B.** To compare and add them fairly
**C.** Because one-time costs never matter
**D.** Because yearly costs are not real costs

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q5**
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q5/5 · Outcome ENT.COST.01 (local)

**Learn**
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

How many months are in a year?

**A.** 7
**B.** 10
**C.** 12
**D.** 52

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q1**
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.COST.01 (local)

**Learn**
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

20 dollars a month is how much per year?

**A.** 240 dollars
**B.** 120 dollars
**C.** 32 dollars
**D.** 200 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q2**
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.COST.01 (local)

**Learn**

A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

120 dollars a year is how much per month?

**A.** 12 dollars

**B.** 1,440 dollars

**C.** 108 dollars

**D.** 10 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q3**

Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.COST.01 (local)

**Learn**
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

To change a monthly amount to yearly, you do what?

**A.** Add 12
**B.** Divide by 12
**C.** Multiply by 12
**D.** Subtract 12

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q4**
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.COST.01 (local)

**Learn**
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

15 dollars a month is how much per year?

**A.** 180 dollars
**B.** 150 dollars
**C.** 27 dollars
**D.** 165 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q5**
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Startup: a 400-dollar laptop and a 100-dollar filing fee. Recurring: 20 dollars a month for software. What is the total for the first year?

**A.** 240 dollars

**B.** 740 dollars

**C.** 500 dollars

**D.** 520 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q1**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Which cost will continue in year two?

**A.** The starter set of tools
**B.** The LLC formation fee
**C.** The first sign printed for opening
**D.** Monthly booth rent at a market

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q2**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Website A costs 300 dollars once plus 10 dollars a month. Website B costs 25 dollars a month with no setup fee. Which costs less over the first year?

**A.** A, at 420 dollars

**B.** They cost the same

**C.** B, at 300 dollars

**D.** A, at 300 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q3**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.COST.01 (local)

**Learn**
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Using the same two websites, which costs less over 3 years?

**A.** B, at 300 dollars
**B.** A, at 660 dollars
**C.** B, at 900 dollars
**D.** They cost the same

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q4**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

A tutor lists costs: whiteboard (once), monthly ads, yearly license, textbooks (once). How many are recurring?

**A.** 2
**B.** 4
**C.** 1
**D.** 3

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q5**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.COST.01 (local)

**Learn**
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A "free" app charges 15 dollars a month after a 3-month trial. What is the cost in the first year?

**A.** 45 dollars

**B.** 0 dollars

**C.** 180 dollars

**D.** 135 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q1**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

An owner budgets the startup laptop but forgets a yearly antivirus renewal. What kind of cost was missed?

**A.** A recurring cost
**B.** An owner draw
**C.** A customer refund
**D.** A one-time cost

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q2**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.COST.01 (local)

**Learn**
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A piece of equipment lasts about 3 years and costs 900 dollars. To plan for replacing it, about how much should be set aside each month?

**A.** 300 dollars
**B.** 900 dollars
**C.** 25 dollars
**D.** 75 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q3**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.COST.01 (local)

**Learn**
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Which item is easiest to forget when listing recurring costs?

**A.** The first batch of business cards
**B.** The rent check the owner writes on the first of every month
**C.** Small subscriptions that renew automatically
**D.** The large oven bought on day one

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q4**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.COST.01 (local)

**Learn**
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Which statement is accurate?

**A.** All costs are recurring.
**B.** One-time costs never lead to other costs.
**C.** Recurring costs can safely be ignored by small businesses that are new.
**D.** A one-time cost today can lead to recurring costs later, like repairs.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q5**
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.COST.01 (local)

# Set 44: Fixed and variable costs

## Outcome ENT.COST.02: Classify costs as fixed or variable and use them in a small total

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

Which is a variable cost for a bakery?

**A.** The monthly accounting software plan
**B.** Flour used for each batch of bread
**C.** Monthly rent for the bakery building
**D.** Yearly insurance for the shop

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q1**
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q1/5 · Outcome ENT.COST.02 (local)

**Learn**
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Which is a fixed cost for an online T-shirt shop?

**A.** Payment fees taken from each sale
**B.** Blank shirts bought for each order
**C.** Shipping paid on each package
**D.** A monthly website plan

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q2**
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q2/5 · Outcome ENT.COST.02 (local)

**Learn**
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

Using the candle example, what does it cost to make 50 candles in a month?

**A.** 700 dollars
**B.** 900 dollars
**C.** 500 dollars
**D.** 200 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q3**
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q3/5 · Outcome ENT.COST.02 (local)

**Learn**
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If the candle maker sells nothing in a month, what is the total cost?

**A.** 0 dollars
**B.** 504 dollars
**C.** 500 dollars
**D.** 4 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q4**
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q4/5 · Outcome ENT.COST.02 (local)

**Learn**
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

What happens to variable costs when sales double?

**A.** They fall to zero
**B.** They stay exactly the same
**C.** They are cut in half
**D.** They roughly double

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q5**
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q5/5 · Outcome ENT.COST.02 (local)

**Learn**
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Fixed 100, cost per item 2, items 30. What is the total?

**A.** 60
**B.** 3,060
**C.** 160
**D.** 132

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q1**
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.COST.02 (local)

**Learn**
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Which step comes first in "fixed + rate x quantity"?

**A.** Subtract quantity
**B.** Multiply rate by quantity
**C.** Divide by fixed
**D.** Add the fixed cost and the rate

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q2**
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.COST.02 (local)

**Learn**
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Fixed 300, cost per item 5, items 20. What is the total?

**A.** 400
**B.** 325
**C.** 6,100
**D.** 100

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q3**
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.COST.02 (local)

**Learn**
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Fixed 50, cost per item 10, items 0. What is the total?

**A.** 0
**B.** 50
**C.** 500
**D.** 60

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q4**
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.COST.02 (local)

**Learn**
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Fixed 250, cost per item 1.50, items 100. What is the total?

**A.** 400
**B.** 150
**C.** 25,150
**D.** 351.50

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q5**
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.COST.02 (local)

**Learn**
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

A soap maker pays 300 dollars a month for a studio and 2 dollars of supplies per bar. What is the cost for 200 bars?

**A.** 302 dollars
**B.** 500 dollars
**C.** 700 dollars
**D.** 400 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q1**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.COST.02 (local)

**Learn**
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Same soap maker. How much more does it cost to make 300 bars than 200 bars?

**A.** 900 dollars
**B.** 100 dollars
**C.** 300 dollars
**D.** 200 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q2**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.COST.02 (local)

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Which cost is variable for a mobile car wash?

**A.** Yearly business license
**B.** Soap and water used per car
**C.** The van loan payment
**D.** Monthly phone plan

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q3**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.COST.02 (local)

**Learn**
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A dog walker has 60 dollars a month of fixed costs and 1 dollar of variable cost per walk. In a month with 80 walks, what is the average cost per walk?

**A.** 1.75 dollars

**B.** 140 dollars

**C.** 1.00 dollar

**D.** 0.75 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q4**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.COST.02 (local)

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When sales rise, what happens to the fixed cost per item?

**A.** It becomes variable
**B.** It goes up
**C.** It goes down
**D.** It stays exactly the same

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q5**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.COST.02 (local)

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A baker's rent is fixed, but if sales triple she must rent a second oven. What does this show?

**A.** Ovens are variable costs that rise with each loaf

**B.** Fixed costs never change at all

**C.** Rent is a variable cost

**D.** Fixed costs can step up at higher volumes

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q1**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.COST.02 (local)

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A shipping service charges 5 dollars per package up to 100 packages, then 4 dollars per package after that. What is the cost for 150 packages?

**A.** 200 dollars

**B.** 750 dollars

**C.** 700 dollars

**D.** 600 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q2**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.COST.02 (local)

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An owner counts her own hours as free. What cost is missing?

**A.** Supplies used for each item

**B.** Rent

**C.** The value of her time

**D.** Shipping

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q3**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.COST.02 (local)

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A phone bill is 40 dollars a month plus overage charges in busy months. How should it be planned?

**A.** As a one-time cost

**B.** As mostly fixed with a variable part

**C.** As a fully variable cost for each sale

**D.** As free

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q4**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.COST.02 (local)

**Learn**
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Which statement is accurate?

**A.** Fixed costs are always larger than variable costs.
**B.** Every single cost is either perfectly fixed or perfectly variable, always.
**C.** Classifying costs is an estimate that helps planning, not an exact law.
**D.** Variable costs never matter for small sellers.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q5**
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.COST.02 (local)

# Set 45: A realistic startup budget

## Outcome ENT.COST.03: Build a small startup budget with a buffer and no missing items

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
A STARTUP BUDGET lists what you expect to spend before and during the first months. List one-time costs (equipment, filing fees, first inventory) and recurring costs for several months, because sales often start slowly. Add a CONTINGENCY: an extra amount, often a percentage, for surprises such as a repair or a price increase. Write down your ASSUMPTIONS (for example, "rent stays 400 dollars a month") so you can check them later. Compare the total with the money available.

What is a contingency in a budget?

**A.** Money owed to customers for refunds
**B.** Extra money set aside for surprises
**C.** A tax paid to the state each month
**D.** The owner's profit for the first year

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q1**
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q1/5 · Outcome ENT.COST.03 (local)

**Learn**
A STARTUP BUDGET lists what you expect to spend before and during the first months. List one-time costs (equipment, filing fees, first inventory) and recurring costs for several months, because sales often start slowly. Add a CONTINGENCY: an extra amount, often a percentage, for surprises such as a repair or a price increase. Write down your ASSUMPTIONS (for example, "rent stays 400 dollars a month") so you can check them later. Compare the total with the money available.

Why include several months of recurring costs?

**A.** It makes the budget look smaller
**B.** Banks require exactly twelve months listed
**C.** Recurring costs are paid only once
**D.** Sales often start slowly

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q2**
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q2/5 · Outcome ENT.COST.03 (local)

**Learn**
A STARTUP BUDGET lists what you expect to spend before and during the first months. List one-time costs (equipment, filing fees, first inventory) and recurring costs for several months, because sales often start slowly. Add a CONTINGENCY: an extra amount, often a percentage, for surprises such as a repair or a price increase. Write down your ASSUMPTIONS (for example, "rent stays 400 dollars a month") so you can check them later. Compare the total with the money available.

One-time costs are 2,000 dollars and 3 months of recurring costs are 900 dollars. A 10 percent contingency is added. What is the total budget?

**A.** 3,100 dollars
**B.** 2,900 dollars
**C.** 3,190 dollars
**D.** 2,990 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q3**
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q3/5 · Outcome ENT.COST.03 (local)

**Learn**
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What is an assumption in a budget?

**A.** A tax form filed with the IRS
**B.** A stated guess, like "rent stays 400 dollars a month"
**C.** A receipt from a supplier
**D.** A cost the owner has already paid in full to a supplier

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q4**
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q4/5 · Outcome ENT.COST.03 (local)

**Learn**
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A budget totals 5,000 dollars and the owner has 4,200 dollars. What is the gap?

**A.** 9,200 dollars
**B.** 800 dollars
**C.** 5,000 dollars
**D.** 4,200 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q5**
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q5/5 · Outcome ENT.COST.03 (local)

**Learn**
To find a percent of an amount, change the percent to a decimal and multiply. 10 percent = 0.10, 15 percent = 0.15, 5 percent = 0.05. Example: 10 percent of 3,000 is 0.10 x 3,000 = 300. To ADD a percent, multiply by 1 plus the decimal: 3,000 x 1.10 = 3,300. Check: 10 percent is one tenth, so move the decimal point one place.

What is 10 percent of 500?

**A.** 5
**B.** 5,000
**C.** 50
**D.** 510

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q1**
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.COST.03 (local)

**Learn**
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15 percent as a decimal is what?

**A.** 0.015
**B.** 1.5
**C.** 15.0
**D.** 0.15

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q2**
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.COST.03 (local)

**Learn**
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What is 500 increased by 10 percent?

**A.** 550
**B.** 510
**C.** 5,000
**D.** 50

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q3**
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.COST.03 (local)

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What is 5 percent of 2,000?

**A.** 2,005
**B.** 400
**C.** 10
**D.** 100

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q4**
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.COST.03 (local)

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What is 20 percent of 150?

**A.** 30
**B.** 3
**C.** 170
**D.** 7.5

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q5**
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.COST.03 (local)

**Learn**
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Ida's budget: equipment 1,500, first inventory 800, 3 months of rent at 350, no contingency. What is missing?

**A.** The cost of the first inventory
**B.** Rent
**C.** The equipment cost
**D.** A contingency for surprises

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q1**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.COST.03 (local)

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Same budget. What is the total before any contingency?

**A.** 2,300 dollars
**B.** 3,350 dollars
**C.** 4,400 dollars
**D.** 2,650 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q2**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.COST.03 (local)

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If Ida adds a 15 percent contingency to 3,350 dollars, what is the new total?

**A.** 3,365 dollars
**B.** 3,850 dollars
**C.** 502.50 dollars
**D.** 3,852.50 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q3**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.COST.03 (local)

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An assumption says "supplies cost 2 dollars per unit." The supplier now charges 2.40 dollars. What should Ida do?

**A.** Update the assumption and recalculate
**B.** Delete the supplies line
**C.** Keep the old number; budgets never change
**D.** Double every cost to be safe

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q4**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.COST.03 (local)

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Which budget is most realistic for a new café?

**A.** One with no rent listed, because the first rent is due later
**B.** One listing only the espresso machine
**C.** One with equipment, several months of costs and a buffer
**D.** One assuming full sales on day one

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q5**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.COST.03 (local)

**Learn**
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A budget needs 6,000 dollars; the owner has 4,500. Which option keeps risk lowest?

**A.** Borrow at a high rate without a repayment plan
**B.** Start smaller and cut nonessential costs
**C.** Skip rent payments for a while
**D.** Remove the contingency and hope

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q1**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.COST.03 (local)

**Learn**
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An owner's contingency is 5 percent but her equipment is old and breaks often. What should she consider?

**A.** Assuming nothing will break

**B.** No contingency at all

**C.** Removing equipment from the budget

**D.** A larger contingency

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q2**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.COST.03 (local)

**Learn**
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A budget used last year's prices. Prices rose about 8 percent. A 2,500-dollar line becomes about how much?

**A.** 2,508 dollars
**B.** 3,300 dollars
**C.** 2,700 dollars
**D.** 200 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q3**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.COST.03 (local)

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Which mistake makes a budget look better than reality?

**A.** Including a buffer
**B.** Leaving out the owner's living costs while sales are slow
**C.** Writing down each assumption clearly
**D.** Listing recurring costs for several months ahead of time

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q4**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.COST.03 (local)

**Learn**
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Which statement is accurate?

**A.** Budgets are only useful for large companies with many staff.
**B.** A budget is fixed and never changes.
**C.** A budget guarantees profit.
**D.** A budget is a plan to update as real numbers arrive.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q5**
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.COST.03 (local)

# Set 46: Price and cost per item

## Outcome ENT.PRICE.01: Find cost per item and profit per item from a stated price

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

A batch of 50 bracelets uses 75 dollars of beads and string. What is the cost per bracelet?

**A.** 3.75 dollars
**B.** 75.00 dollars
**C.** 1.50 dollars
**D.** 0.67 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q1**
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q1/5 · Outcome ENT.PRICE.01 (local)

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The cookie cost per item is 0.60 dollars. The price is 1.50 dollars. What does each sale contribute?

**A.** 0.60 dollars
**B.** 1.50 dollars
**C.** 2.10 dollars
**D.** 0.90 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q2**
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q2/5 · Outcome ENT.PRICE.01 (local)

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What happens if the price is below the cost per item?

**A.** Fixed costs disappear
**B.** Each sale loses money
**C.** Each sale makes more profit than before
**D.** Nothing changes at all

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q3**
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q3/5 · Outcome ENT.PRICE.01 (local)

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Which should be included in cost per item for a candle?

**A.** Wax, wick, jar and label
**B.** The owner's personal groceries
**C.** Only the label, since customers see it
**D.** Only the wax, since it is the main material

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q4**
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q4/5 · Outcome ENT.PRICE.01 (local)

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A batch of 20 cards costs 8 dollars of paper and 2 dollars of envelopes. What is the cost per card?

**A.** 10.00 dollars
**B.** 0.50 dollars
**C.** 0.40 dollars
**D.** 0.10 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q5**
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q5/5 · Outcome ENT.PRICE.01 (local)

**Learn**
To find the cost of one item from a batch, add up everything the batch cost, then divide by the number of items. Example: 30 dollars for 12 items: 30 / 12 = 2.50 dollars each. Check by multiplying back: 2.50 x 12 = 30. If the answer is bigger than the total, you probably divided the wrong way.

24 dollars for 8 items. What is the cost per item?

**A.** 0.33 dollars
**B.** 16 dollars
**C.** 3 dollars
**D.** 192 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q1**
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.01 (local)

**Learn**
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How do you check 2.50 dollars per item for 12 items?

**A.** Subtract 12 from 30 and compare

**B.** Divide 12 by 2.50

**C.** Multiply 2.50 by 12 to get 30

**D.** Add 2.50 and 12

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q2**
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.01 (local)

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45 dollars for 10 items. What is the cost per item?

**A.** 4.50 dollars
**B.** 0.22 dollars
**C.** 35 dollars
**D.** 450 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q3**
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.01 (local)

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12 dollars of ingredients plus 3 dollars of boxes for 30 items. What is the cost per item?

**A.** 0.40 dollars
**B.** 0.50 dollars
**C.** 0.10 dollars
**D.** 15 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q4**
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.01 (local)

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A result of 240 dollars per item from a 60-dollar batch of 4 is a sign of what?

**A.** A missing item
**B.** Multiplying instead of dividing
**C.** A correct answer for the batch
**D.** A cheap batch

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q5**
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.01 (local)

**Learn**
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A tote bag costs 6 dollars to make. Which price at least covers the cost per item?

**A.** 4 dollars
**B.** 5.50 dollars
**C.** 5 dollars
**D.** 9 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q1**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.01 (local)

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A baker makes 24 muffins with 18 dollars of ingredients and 6 dollars of liners and boxes. She prices muffins at 2 dollars. What does each muffin contribute?

**A.** 1.00 dollar

**B.** 1.25 dollars

**C.** 2.00 dollars

**D.** 0.75 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q2**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.01 (local)

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A printer charges 0.80 dollars per sticker plus 10 dollars per order. An order of 100 stickers costs how much per sticker?

**A.** 0.10 dollars
**B.** 0.90 dollars
**C.** 90 dollars
**D.** 0.80 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q3**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.01 (local)

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A seller forgot the 0.30-dollar label on each 2-dollar item. What is the true cost per item?

**A.** 1.70 dollars
**B.** 2.00 dollars
**C.** 2.30 dollars
**D.** 0.30 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q4**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.01 (local)

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Two suppliers: A sells 100 jars for 120 dollars; B sells 60 jars for 66 dollars. Which is cheaper per jar?

**A.** B, at 1.10 dollars

**B.** They cost the same

**C.** A, at 1.10 dollars

**D.** A, at 1.20 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q5**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.01 (local)

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A baker makes 40 cookies but 4 break and cannot be sold. Ingredients cost 20 dollars. What is the cost per SOLD cookie, to the nearest cent?

**A.** 0.56 dollars
**B.** 5.00 dollars
**C.** 0.50 dollars
**D.** 0.45 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q1**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.01 (local)

**Learn**
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

A supplier requires a minimum order of 500 labels for 50 dollars, but the owner needs only 100 this month. What is the true cost per label used this month?

**A.** 50 dollars

**B.** 0.50 dollars

**C.** 5.00 dollars

**D.** 0.10 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q2**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.01 (local)

**Learn**
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

Ingredient prices rose 10 percent, raising cost per item from 2.00 to 2.20 dollars. Price stays 3.00 dollars. What is the new contribution per item?

**A.** 0.20 dollars

**B.** 2.20 dollars

**C.** 1.00 dollar

**D.** 0.80 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q3**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.01 (local)

**Learn**
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

A seller computes cost per item but forgets shipping supplies used on every order. What happens?

**A.** Costs are overestimated by the seller

**B.** Nothing changes

**C.** Taxes disappear

**D.** The price may look profitable when it is not

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q4**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.01 (local)

**Learn**
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

Which statement is accurate?

**A.** Cost per item is calculated once at the start and never changes after that.
**B.** Cost per item should be rechecked when supplier prices or waste change.
**C.** Waste never affects cost.
**D.** Only fixed costs matter for price.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q5**
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.01 (local)

# Set 47: Revenue, profit and cash

## Outcome ENT.CASH.01: Tell revenue, profit and cash available apart in a small example

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

What is revenue?

**A.** Money earned from customers before costs
**B.** Money borrowed from a bank loan
**C.** Money left after paying every expense
**D.** Money sitting in the bank right now

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q1**
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q1/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

Revenue is 4,000 dollars and expenses are 3,100 dollars. What is the profit?

**A.** 3,100 dollars
**B.** 900 dollars
**C.** 7,100 dollars
**D.** 4,000 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q2**
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q2/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

How can a business show a profit but have little cash?

**A.** Expenses are counted twice
**B.** Profit always equals cash in the bank
**C.** Revenue is always zero
**D.** Customers have not paid their invoices yet

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q3**
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q3/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

What is cash?

**A.** Sales minus costs on paper for the month
**B.** All sales ever made
**C.** The value of the logo
**D.** Money actually available in the account

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q4**
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q4/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

Revenue is 2,000 dollars and expenses are 2,300 dollars. What is the result?

**A.** A loss of 2,000 dollars
**B.** A profit of 300 dollars
**C.** A profit of 4,300 dollars
**D.** A loss of 300 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q5**
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q5/5 · Outcome ENT.CASH.01 (local)

**Learn**
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

The stand's revenue is what?

**A.** 12 dollars
**B.** 30 dollars
**C.** 18 dollars
**D.** 25 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q1**
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASH.01 (local)

**Learn**
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

The stand's profit is what?

**A.** 48 dollars
**B.** 18 dollars
**C.** 12 dollars
**D.** 30 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q2**
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASH.01 (local)

**Learn**
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

Why is there only 25 dollars of sales cash?

**A.** Profit for the day was negative
**B.** Lemons were free
**C.** A neighbor will pay tomorrow
**D.** Cups were stolen

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q3**
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASH.01 (local)

**Learn**
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

"What is in the box" means which word?

**A.** Expenses
**B.** Profit
**C.** Revenue
**D.** Cash

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q4**
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASH.01 (local)

**Learn**
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

"What is left after costs" means which word?

**A.** Profit
**B.** Cash
**C.** Sales
**D.** Revenue

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q5**
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

A photographer billed clients 5,000 dollars in May. Expenses were 2,200 dollars. Clients paid 3,500 dollars so far. What is the May profit?

**A.** 1,300 dollars
**B.** 3,500 dollars
**C.** 2,800 dollars
**D.** 5,000 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q1**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

Same photographer. Cash received minus expenses paid is what?

**A.** 1,500 dollars
**B.** 1,300 dollars
**C.** 2,800 dollars
**D.** 5,700 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q2**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

A shop spends 3,000 dollars on inventory it will sell next month. This month's cash drops. What happened to the money?

**A.** It turned into goods waiting to be sold
**B.** It was paid as taxes
**C.** It disappeared
**D.** It became profit for the month right away

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q3**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASH.01 (local)

**Learn**
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Which month shows revenue but a loss?

**A.** Revenue 1,800, expenses 2,100
**B.** Revenue 1,800, expenses 1,200
**C.** Revenue 0, expenses 0
**D.** Revenue 2,500, expenses 2,000

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q4**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

An owner says "We sold 10,000 dollars, so we have 10,000 dollars." What is wrong?

**A.** Revenue is a cost
**B.** Sales should be doubled
**C.** Sales are not cash or profit
**D.** Nothing; revenue always equals cash

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q5**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

Sales are rising fast, but the owner must buy materials 60 days before customers pay. What risk grows?

**A.** Taxes vanishing
**B.** Revenue falling to zero
**C.** Running out of cash despite profits
**D.** Too much cash piling up in the bank

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q1**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

A business is profitable on paper but cannot pay rent this week. Which action helps soonest?

**A.** Collect overdue invoices
**B.** Ignore the rent notice
**C.** Lower all prices
**D.** Buy more inventory today

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q2**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

A business made 12,000 dollars of profit this year. The owner took 9,000 dollars in draws and bought 4,000 dollars of equipment. Ignoring other items, how did cash change?

**A.** Down 13,000 dollars

**B.** Up 3,000 dollars

**C.** Down 1,000 dollars

**D.** Up 12,000 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q3**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASH.01 (local)

**Learn**
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Which number should an owner check before promising to pay a supplier on Friday?

**A.** Number of followers
**B.** Cash expected by Friday
**C.** Total revenue for the year
**D.** Profit last year

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q4**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASH.01 (local)

**Learn**
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

Which statement is accurate?

**A.** A business needs profit over time and cash at every moment.
**B.** Profit and cash are always identical.
**C.** Cash never matters for businesses that are profitable on paper.
**D.** Revenue is the only number that matters.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q5**
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASH.01 (local)

# Set 48: Markup and margin

## Outcome ENT.PRICE.02: Compute markup and margin and explain why they differ

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

**Learn**
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. Markup is always bigger than margin for the same item. Mixing them up can lead to prices that are too low.

Cost 5 dollars, price 8 dollars. What is the markup?

**A.** 3 percent
**B.** 60 percent
**C.** 37.5 percent
**D.** 160 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q1**
Entrepreneurship, Set 48: Markup and margin · MAIN · Q1/5 · Outcome ENT.PRICE.02 (local)

**Learn**
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. Markup is always bigger than margin for the same item. Mixing them up can lead to prices that are too low.

Cost 5 dollars, price 8 dollars. What is the margin?

**A.** 37.5 percent
**B.** 60 percent
**C.** 62.5 percent
**D.** 3 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q2**
Entrepreneurship, Set 48: Markup and margin · MAIN · Q2/5 · Outcome ENT.PRICE.02 (local)

**Learn**
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. Markup is always bigger than margin for the same item. Mixing them up can lead to prices that are too low.

Markup uses which base?

**A.** The price
**B.** The tax rate
**C.** The cost
**D.** The number sold

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q3**
Entrepreneurship, Set 48: Markup and margin · MAIN · Q3/5 · Outcome ENT.PRICE.02 (local)

**Learn**
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. Markup is always bigger than margin for the same item. Mixing them up can lead to prices that are too low.

For the same item, which is larger?

**A.** It depends on the tax rate
**B.** Margin
**C.** They are always equal
**D.** Markup

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q4**
Entrepreneurship, Set 48: Markup and margin · MAIN · Q4/5 · Outcome ENT.PRICE.02 (local)

**Learn**
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. Markup is always bigger than margin for the same item. Mixing them up can lead to prices that are too low.

Cost 20 dollars, a 50 percent markup. What is the price?

**A.** 25 dollars
**B.** 40 dollars
**C.** 30 dollars
**D.** 10 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q5**
Entrepreneurship, Set 48: Markup and margin · MAIN · Q5/5 · Outcome ENT.PRICE.02 (local)

**Learn**
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

What percent is 2 of 8?

**A.** 4 percent
**B.** 25 percent
**C.** 400 percent
**D.** 2 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q1**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.02 (local)

**Learn**
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

What percent is 6 of 10?

**A.** 60 percent
**B.** 167 percent
**C.** 6 percent
**D.** 16 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q2**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.02 (local)

**Learn**
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

In "3 is what percent of 12?", which number is the base?

**A.** 3
**B.** 100
**C.** 15
**D.** 12

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q3**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.02 (local)

**Learn**
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

What percent is 5 of 20?

**A.** 5 percent
**B.** 25 percent
**C.** 4 percent
**D.** 20 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q4**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.02 (local)

**Learn**
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

Why do 3 / 4 and 3 / 12 give different percents?

**A.** The base is different

**B.** One is wrong

**C.** The part is different

**D.** Percents are random

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q5**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.02 (local)

**Learn**
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

Markup compares the gap with what?

**A.** The tax
**B.** The customer
**C.** What you paid
**D.** The price tag

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q1**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q1/5 · Outcome ENT.PRICE.02 (local)

**Learn**
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

Margin compares the gap with what?

**A.** What you paid
**B.** The rent
**C.** The weather
**D.** The price tag

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q2**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q2/5 · Outcome ENT.PRICE.02 (local)

**Learn**
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

In the example, what is the dollar gap?

**A.** 4 dollars
**B.** 10 dollars
**C.** 16 dollars
**D.** 6 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q3**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q3/5 · Outcome ENT.PRICE.02 (local)

**Learn**
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"How much of the price tag do I keep?" is which idea?

**A.** Cash
**B.** Markup
**C.** Margin
**D.** Revenue

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q4**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q4/5 · Outcome ENT.PRICE.02 (local)

**Learn**
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

Does the dollar gap change between markup and margin?

**A.** Yes, it halves
**B.** Yes, it becomes zero for margin
**C.** Yes, it doubles
**D.** No, only the comparison changes

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q5**
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q5/5 · Outcome ENT.PRICE.02 (local)

**Learn**
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. Markup is always bigger than margin for the same item. Mixing them up can lead to prices that are too low.

A reseller buys mugs for 8 dollars and wants a 40 percent margin. What price works, to the nearest cent?

**A.** 12.00 dollars

**B.** 13.33 dollars

**C.** 3.20 dollars

**D.** 11.20 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q1**
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.02 (local)

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An owner adds a 40 percent markup to a cost of 8 dollars, thinking it gives a 40 percent margin. What margin does she actually get, to one decimal place?

**A.** 11.2 percent
**B.** 40 percent
**C.** 28.6 percent
**D.** 60 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q2**
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.02 (local)

**Learn**
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Cost 12 dollars, price 20 dollars. What is the margin?

**A.** 8 percent
**B.** 67 percent
**C.** 60 percent
**D.** 40 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q3**
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.02 (local)

**Learn**
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A supplier says "Industry margin is 50 percent." Item cost is 15 dollars. What price gives a 50 percent margin?

**A.** 30 dollars
**B.** 22.50 dollars
**C.** 15 dollars
**D.** 7.50 dollars

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q4**
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.02 (local)

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Which statement is correct for cost 6, price 10?

**A.** Both are 4 percent
**B.** Markup is about 67 percent and margin is 40 percent
**C.** Markup is 40 percent and margin is about 67 percent
**D.** Both are 40 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q5**
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.02 (local)

**Learn**
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An item costs 10 dollars and sells for 20 dollars (50 percent margin). A 20 percent discount is offered. What is the new margin?

**A.** 30 percent
**B.** 37.5 percent
**C.** 50 percent
**D.** 20 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q1**
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.02 (local)

**Learn**
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A payment fee takes 3 percent of a 50-dollar price. Item cost is 30 dollars. What is the margin after the fee?

**A.** 40 percent

**B.** 43 percent

**C.** 3 percent

**D.** 37 percent

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q2**
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.02 (local)

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A business partner says "our markup is 25 percent" but means margin. Why does it matter?

**A.** Prices set from the wrong term can be too low

**B.** It never matters which word is used

**C.** Margin is only for taxes

**D.** Markup and margin are legally identical

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q3**
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.02 (local)

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Which mistake leads to a lower price than intended?

**A.** Using a markup percent when a margin percent was intended
**B.** Using a margin percent when a margin percent was intended
**C.** Writing down the cost carefully
**D.** Including packaging in cost

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q4**
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.02 (local)

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Which statement is accurate?

**A.** Always state whether a percent is markup or margin.
**B.** Markup and margin always give the same price.
**C.** Only margin is ever used in business.
**D.** Percents never need a base.

**REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q5**
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.02 (local)